The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70

Subject : 02 Advanced Financial Management Marks Obtained : 57



GRAPH PAPER IS ON THE PENULTIMATE PAGE

Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

CA FINAL Examination

Group No. 1 Paper No. 2

Subject ADVANCED FINANCIAL MANAGEMENT

Number of Answer Books used : Main + 1 additional sheets

Date Seal 07 JAN 2026

The Roll Number is to be written on this slip only and nowhere else including Additional Answer Books and Graph Paper

For use by ICAI only

164005

PUT THE SEAL WITHIN THIS CIRCLE

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

JANUARY 2026

ICAI

Paper Code: D F W 1

MCQ Booklet Serial No.: 41603118

Paper No.: 2

Level of Exam: FINAL

Foundation (1) Intermediate (2) Final (3)

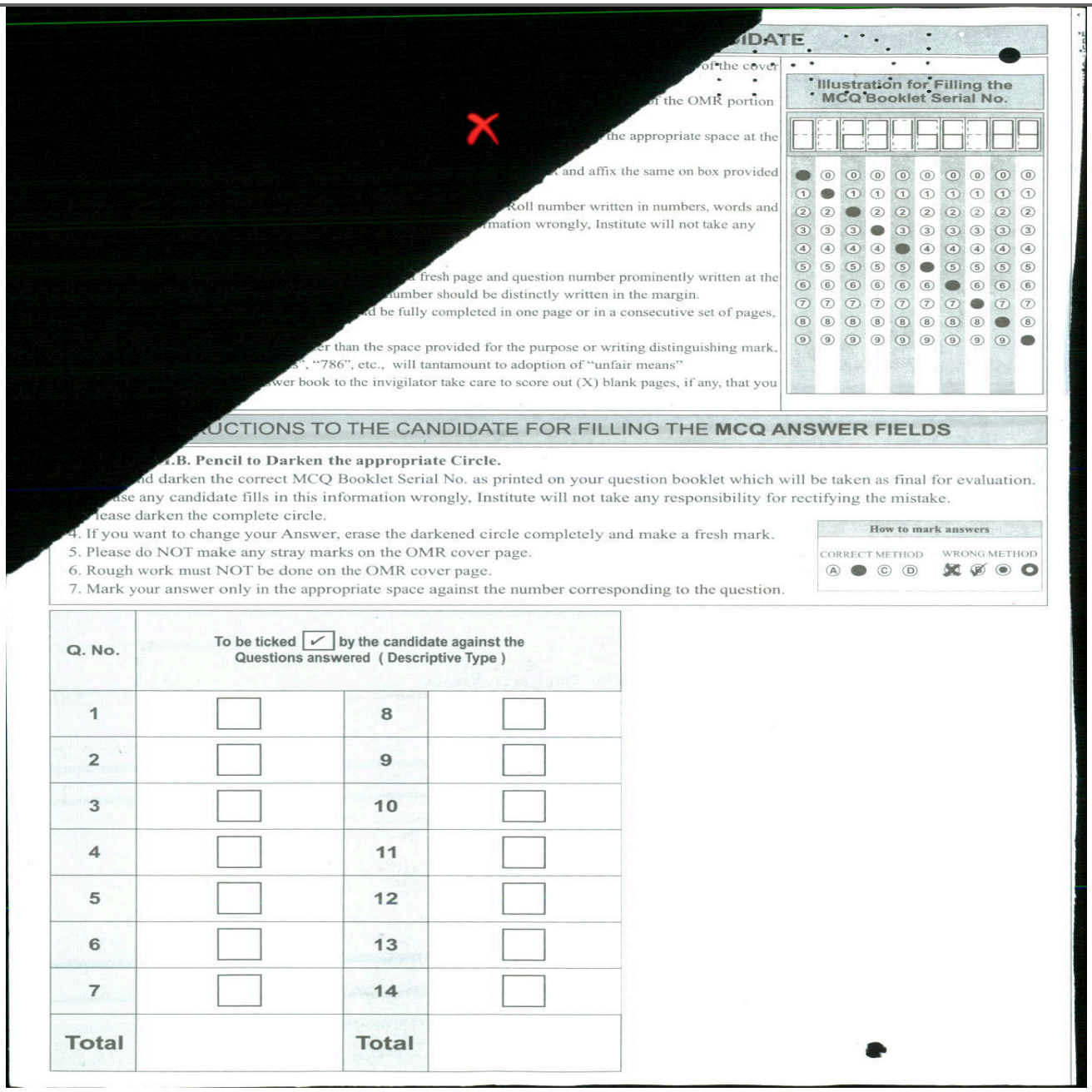
MCQ Answers

1	B	11	B	21	A	2	B	12	B	22	A
3	A	13	A	23	A	4	C	14	B	24	A
5	C	15	A	25	A	6	C	16	A	26	A
7	D	17	A	27	A	8	A	18	A	28	A
9	B	19	A	29	A	10	B	20	A	30	A

The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70

Subject : 02 Advanced Financial Management Marks Obtained : 57



IDATE

of the cover

f the OMR portion

the appropriate space at the

and affix the same on box provided

Roll number written in numbers, words and

rmation wrongly, Institute will not take any

fresh page and question number prominently written at the

number should be distinctly written in the margin.

d be fully completed in one page or in a consecutive set of pages,

er than the space provided for the purpose or writing distinguishing mark,

", "786", etc., will tantamount to adoption of "unfair means"

wer book to the invigilator take care to score out (X) blank pages, if any, that you

Illustration for Filling the MCQ Booklet Serial No.

UCTIONS TO THE CANDIDATE FOR FILLING THE **MCQ ANSWER FIELDS**

.B. Pencil to Darken the appropriate Circle.

nd darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

ase any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

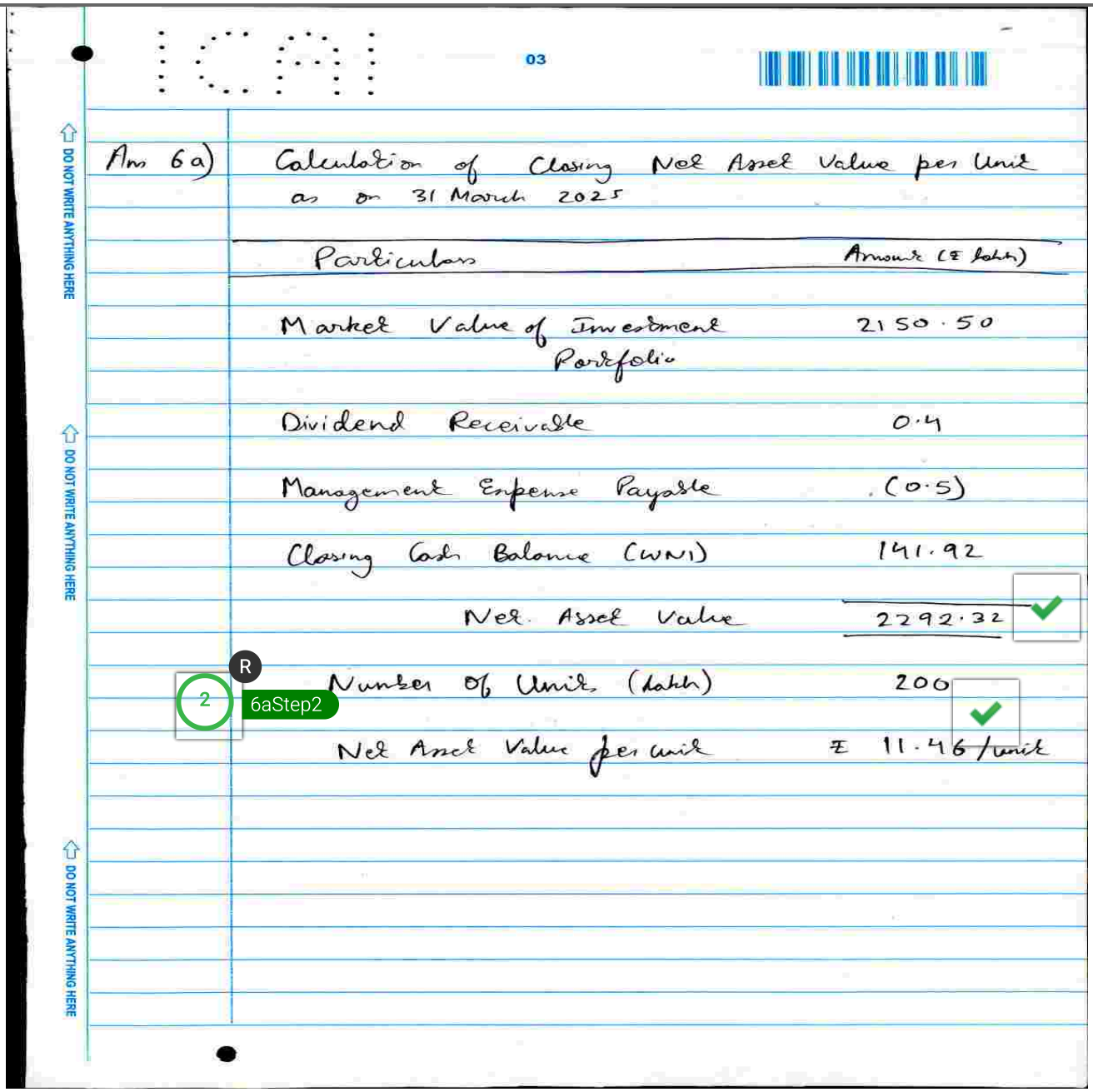
lease darken the complete circle.

4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers

CORRECT METHOD WRONG METHOD

Q. No.	To be ticked ☑ by the candidate against the Questions answered (Descriptive Type)		
1	☐	8	☐
2	☐	9	☐
3	☐	10	☐
4	☐	11	☐
5	☐	12	☐
6	☐	13	☐
7	☐	14	☐
Total		Total	



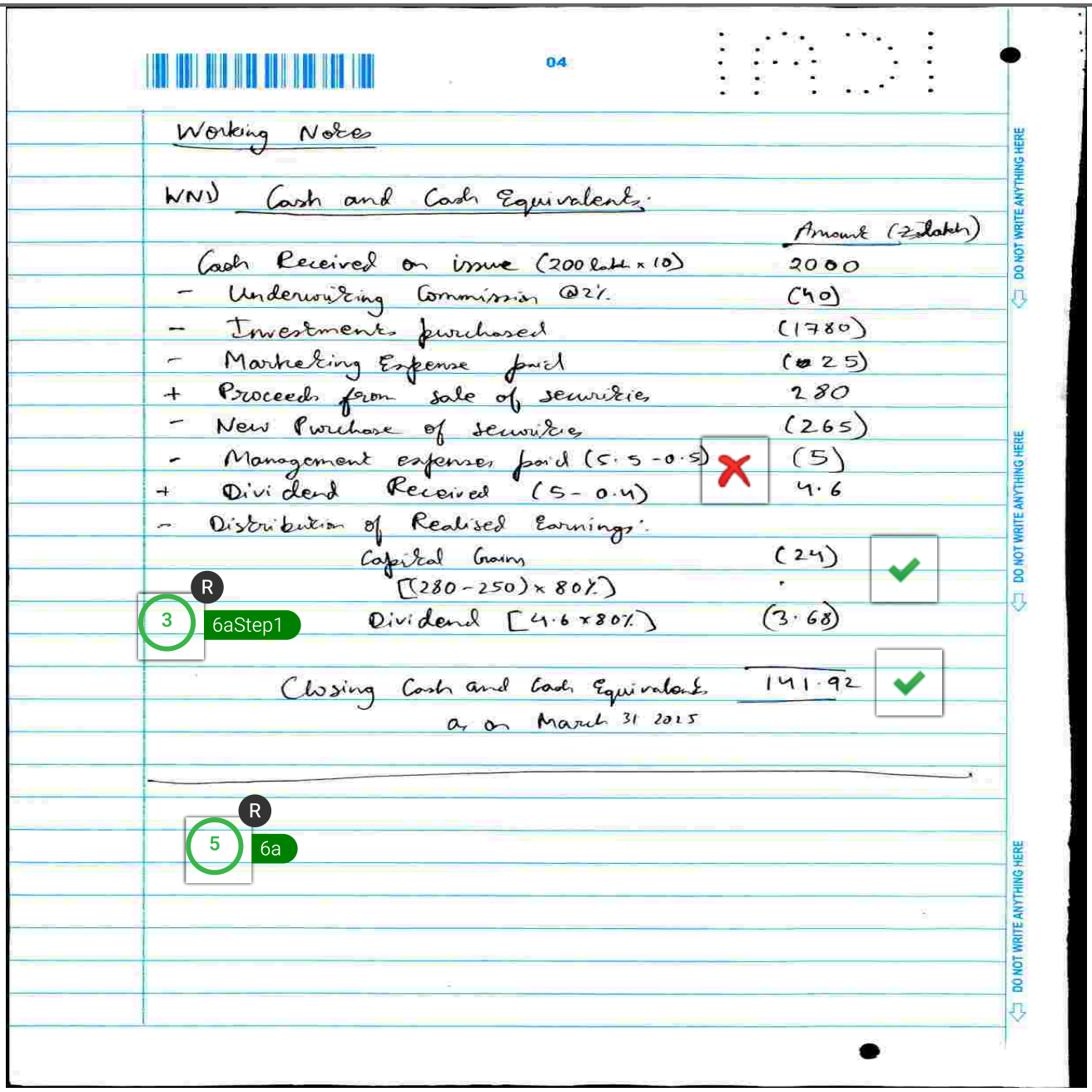
ICAI 03

DO NOT WRITE ANYTHING HERE

Ans 6a) Calculation of Closing Net Asset Value per Unit as on 31 March 2025

Particulars	Amount (₹ lakh)
Market Value of Investment Portfolio	2150.50
Dividend Receivable	0.4
Management Expense Payable	(0.5)
Closing Cash Balance (WN1)	141.92
Net Asset Value	2292.32
Number of Unit (lakh)	200
Net Asset Value per unit	₹ 11.46/unit

R 2 6aStep2



04

Working Notes

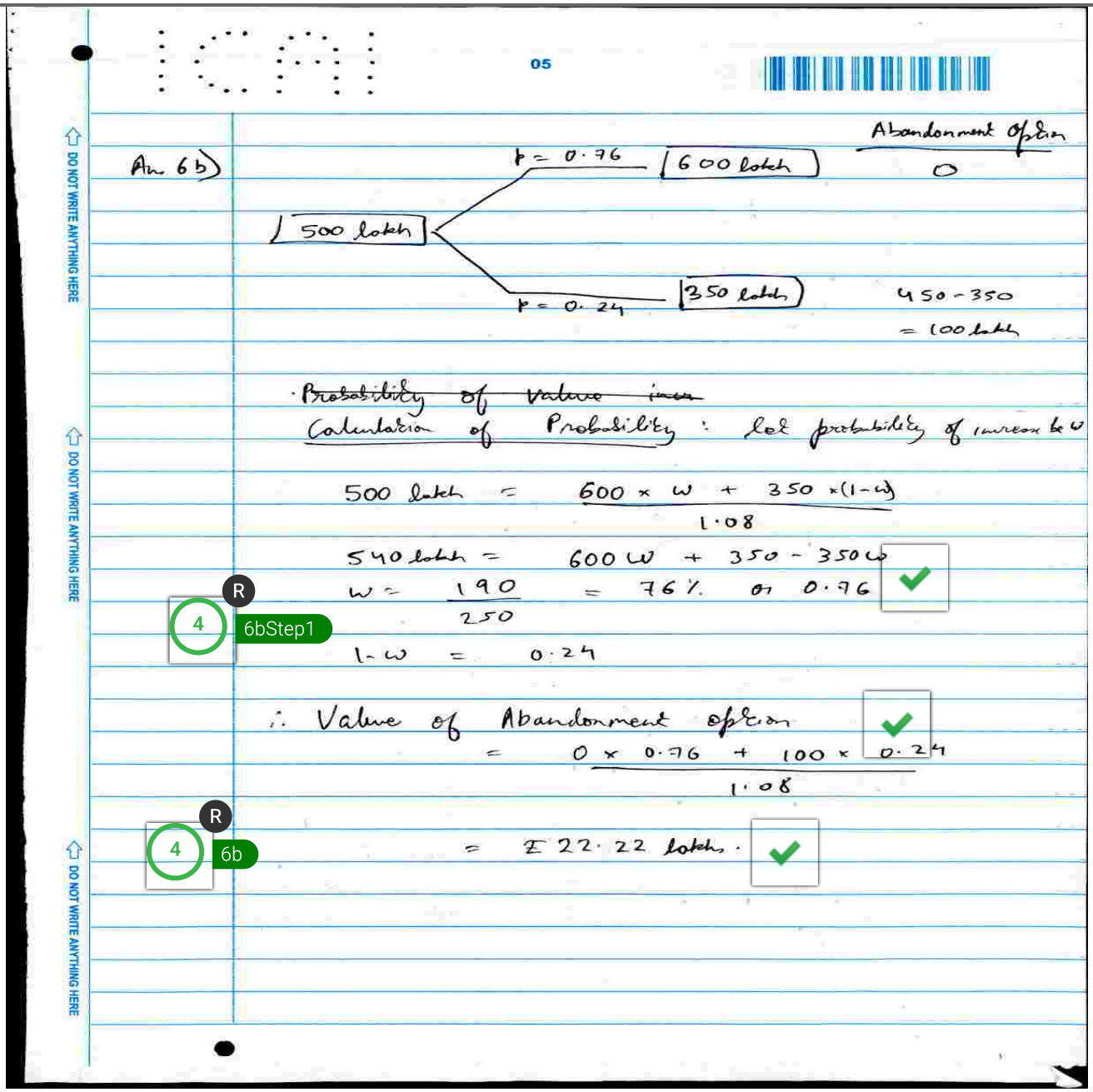
WN1) Cash and Cash Equivalents:

	Amount (₹ lakhs)
Cash Received on issue (200 lakh × 10)	2000
– Underwriting Commission @2%	(40)
– Investments purchased	(1780)
– Marketing Expense paid	(25)
+ Proceeds from sale of securities	280
– New Purchase of securities	(265)
– Management expenses paid (5.5 – 0.5)	(5)
+ Dividend Received (5 – 0.4)	4.6
– Distribution of Realised Earnings:	
Capital Gains [(280 – 250) × 80%]	(24)
Dividend [4.6 × 80%]	(3.68)
Closing Cash and Cash Equivalents as on March 31 2025	141.92

R 3 6aStep1

R 5 6a

DO NOT WRITE ANYTHING HERE


05
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
Ans 6b)
Abandonment Option
P = 0.76
600 lakh
0
500 lakh
P = 0.24
350 lakh
450 - 350
= 100 lakh
Calculation of Probability : let probability of increase be w
500 lakh = 600 × w + 350 × (1-w) / 1.08
540 lakh = 600 w + 350 - 350 w
w = 190 / 250 = 76% or 0.76
1 - w = 0.24
∴ Value of Abandonment option
= 0 × 0.76 + 100 × 0.24 / 1.08
= ₹ 22.22 lakhs.
R
4
6bStep1
R
4
6b

06

Ans 6c) A Special Purpose Vehicle is one of the primary participants in the securitization process. It is formed solely for the purpose of securitization.

The special Purpose Vehicle Takes over the asset from the books of the originator in exchange for an upfront payment and sells ~~to~~ securitized instruments to the investors.

~~The~~ V

The various type of securitized instruments are 'pass through certificates', 'Pay through security' and 'Stripped securities'.

① The given instrument is a Pass Through Certificate as all cash flows of principal and interest from the assets are distributed or passed on directly to the investors on a proportionate basis.

The Special purpose vehicle does not retain any cash flows in this kind of an instrument and all the receipts enjoy pass through status and are transferred to the investor directly by the SPV.

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

07

(2) The given instrument is an example of a 'Pay Through Securities' instrument as the SPV can issue its own debt securities with varying maturities.

In a Pay Through Securities instrument, the SPV can retain any prepayment and invest these surplus funds to earn a yield. The payment to the investors happen as per the regular terms of the securities issued to them.

(3) The given instrument is an example of 'Stripped Securities' as the cash flows from underlying assets are split into their constituent principal and interest components which are sold as seperate securities.

In case of Stripped Securities, the SPV sells both interest only securities as well as the principal only securities. The price of the interest only securities increases and price of principal only securities falls in case of a rise in the yield to maturity (interest rates) and vice versa.

R 4 6cStep1

R 4 6c

R 13 6

DO NOT WRITE ANYTHING HERE

08

Ans 1a) Amount of investment = ~~₹25L~~ ₹ 25,00,000
Average annual yield (%) = 16·8 %
Number of years held = 6

Total yield (return) = 2500000 × (16·8%×6)
= ₹ 25,20,000

Value of Investments as on 31·3·2025
= ₹ 50,20,000 ✓
NAV on that date = ₹110 ✓

No. of Unit on 31·3·2025 = $\frac{5020000}{110}$ = 45636·36 unit

let the opening number of units be x

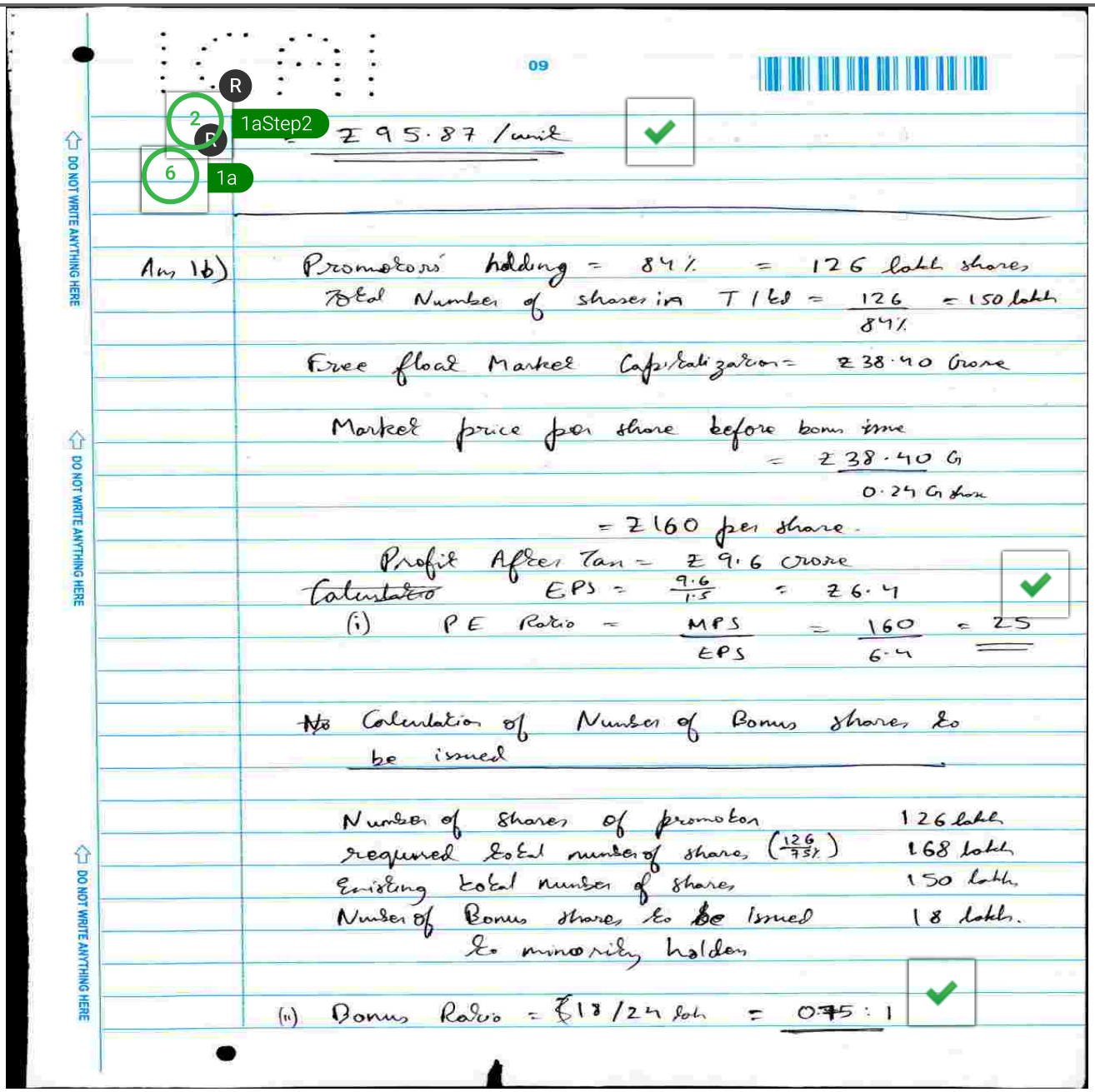
Date	Units	Bonus units	Closing
1·4·19	x	-	-
30·9·21	x	0·25 x	1·25 x
30·9·23	1·25 x	0·5 x	1·75 x

1·75x = 45636·36
∴ opening number of unit (x) = 26077·92 ✓

Opening NAV per unit (1st April 2019) = $\frac{2500000}{26077.92}$

R
4 1aStep1

DO NOT WRITE ANYTHING HERE



09

₹ 95.87 / unit

Ans 1b)

Promoters' holding = 84% = 126 lakh shares

Total Number of shares in Ltd = $\frac{126}{84\%}$ = 150 lakh

Free float Market Capitalization = ₹ 38.40 Crore

Market price per share before bonus issue

= $\frac{₹ 38.40 \text{ Cr}}{0.24 \text{ Cr shares}}$

= ₹ 160 per share.

Profit After Tax = ₹ 9.6 crore

EPS = $\frac{9.6}{1.5}$ = ₹ 6.4

(i) PE Ratio = $\frac{MPS}{EPS} = \frac{160}{6.4} = 25$

No Calculation of Number of Bonus shares to be issued

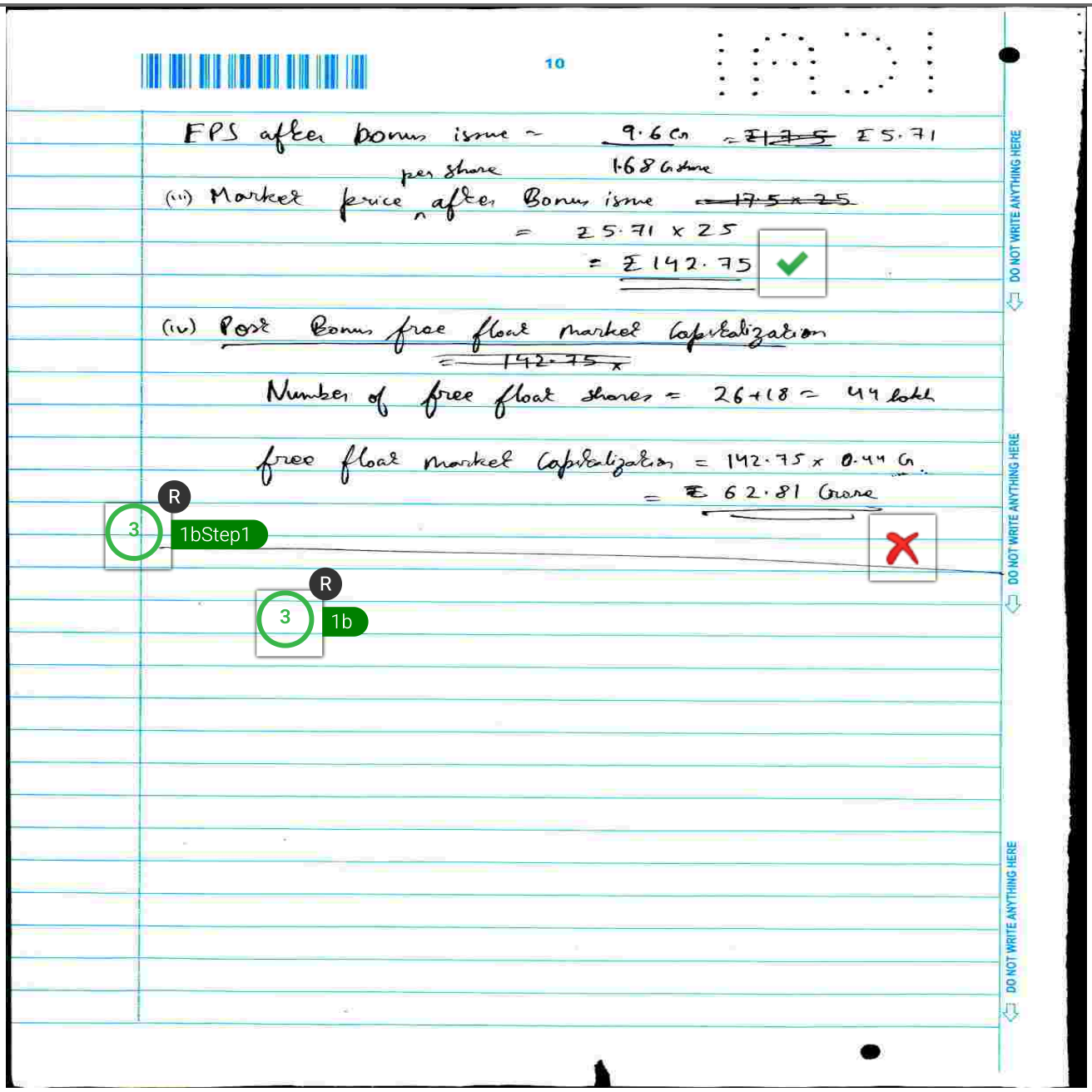
Number of shares of promoter	126 lakh
required total number of shares ($\frac{126}{75\%}$)	168 lakh
Existing total number of shares	150 lakh
Number of Bonus shares to be issued to minority holders	18 lakh.

(ii) Bonus Ratio = 18/24 lakh = 0.75 : 1

DO NOT WRITE ANYTHING HERE

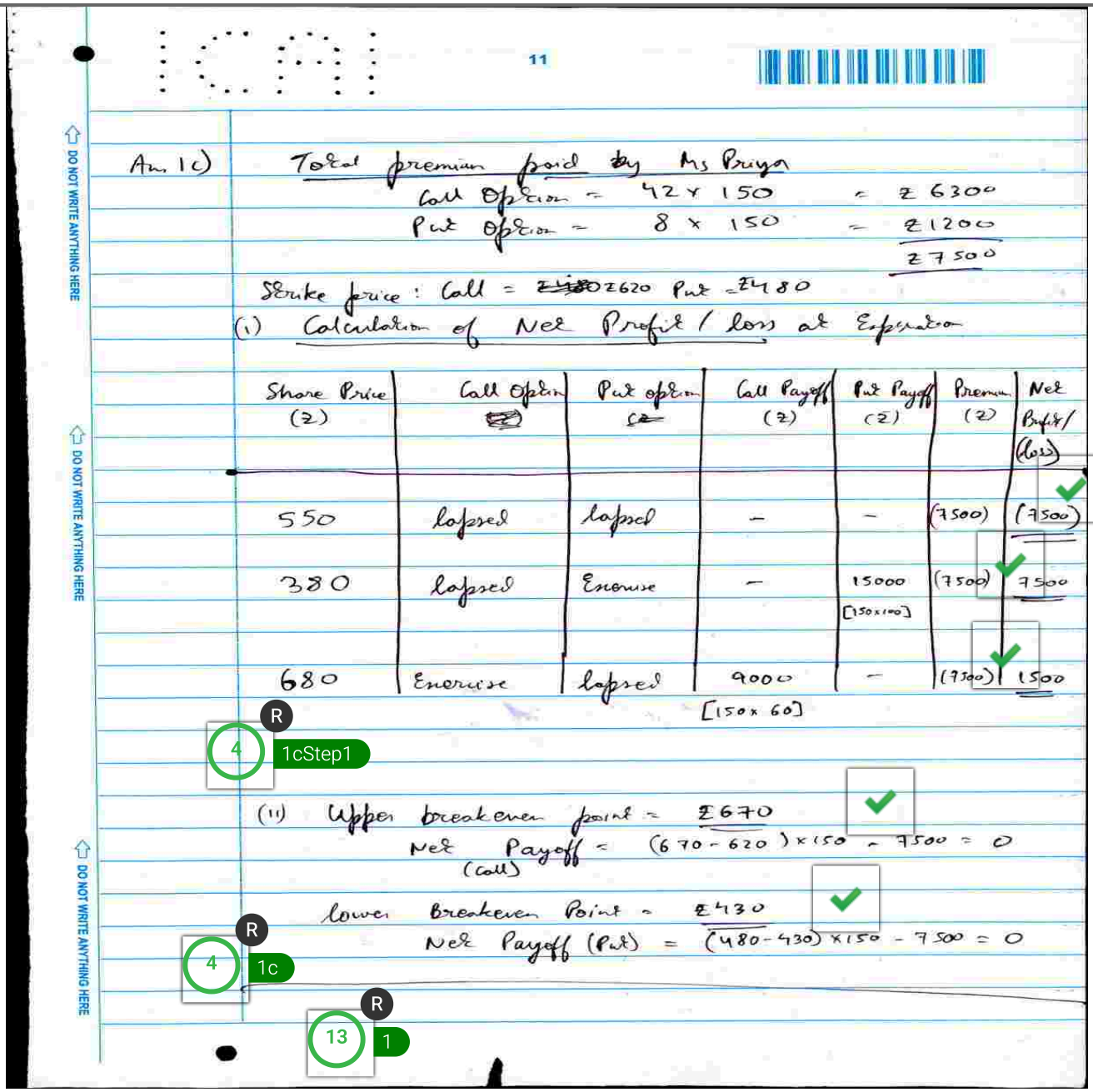
The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57



R 3 1bStep1

R 3 1b



11

DO NOT WRITE ANYTHING HERE

Ans 1c) Total premium paid by Ms Priya

Call Option = 42 × 150 = ₹ 6300

Put Option = 8 × 150 = ₹ 1200

₹ 7500

Strike price : Call = ~~₹650~~ ₹620 Put = ₹480

(i) Calculation of Net Profit / loss at Expiration

Share Price (₹)	Call Option	Put option	Call Payoff (₹)	Put Payoff (₹)	Premium (₹)	Net Profit/ (loss)
550	lapsed	lapsed	–	–	(7500)	(7500)
380	lapsed	Exercise	–	15000 [150×100]	(7500)	7500
680	Exercise	lapsed	9000 [150×60]	–	(7500)	1500

R 4 1cStep1

(ii) Upper breakeven point = ₹670

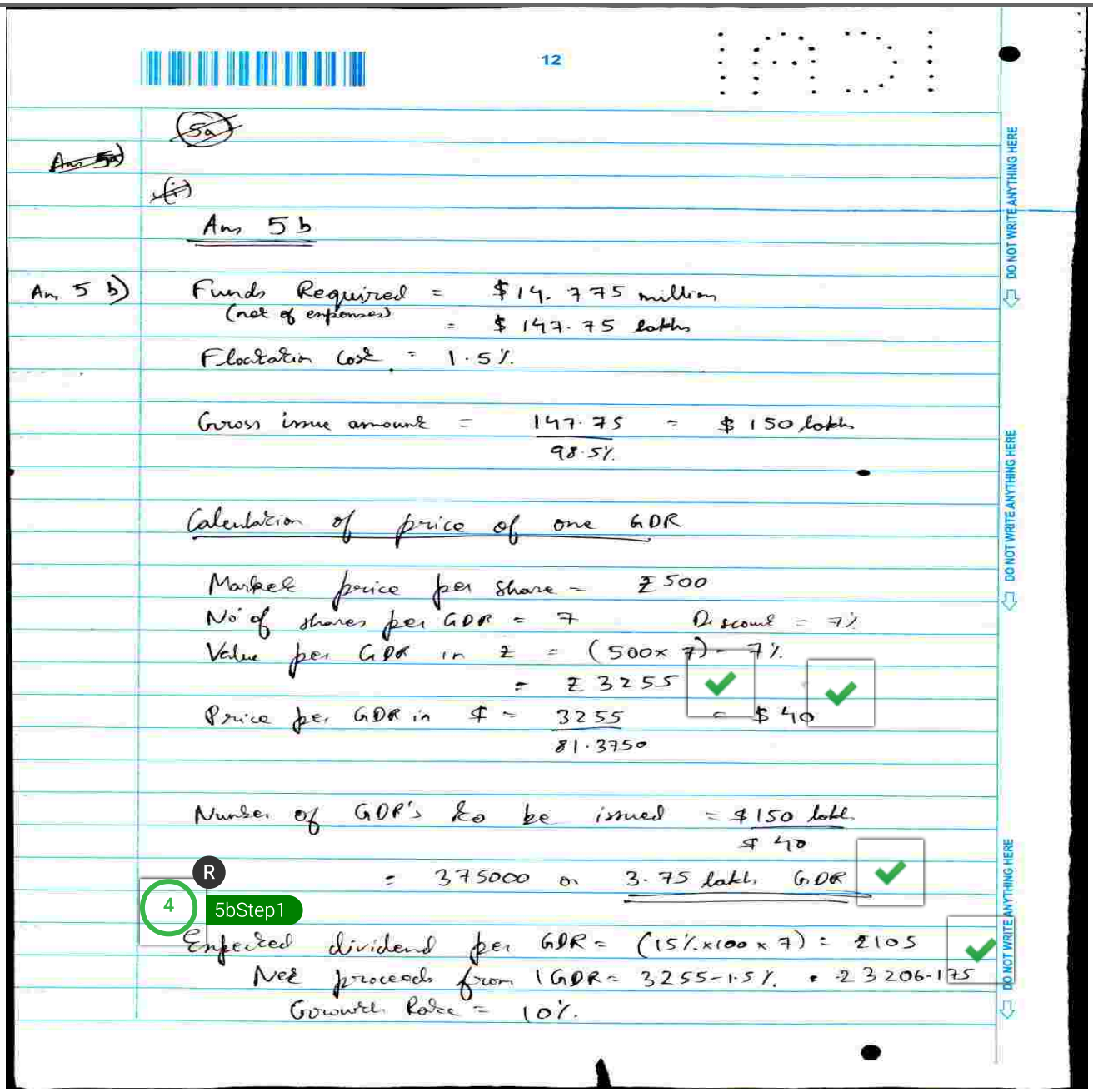
Net Payoff (call) = (670 - 620) × 150 - 7500 = 0

lower Breakeven Point = ₹430

Net Payoff (Put) = (480 - 430) × 150 - 7500 = 0

R 4 1c

R 13 1



12

~~5a~~

~~Ans 5a)~~

~~(i)~~

Ans 5 b

Ans 5 b) Funds Required (net of expenses) = $14.775 million
= $147.75 lakhs

Floatation cost = 1.5%.

Gross issue amount = 147.75 / 98.5% = $150 lakh

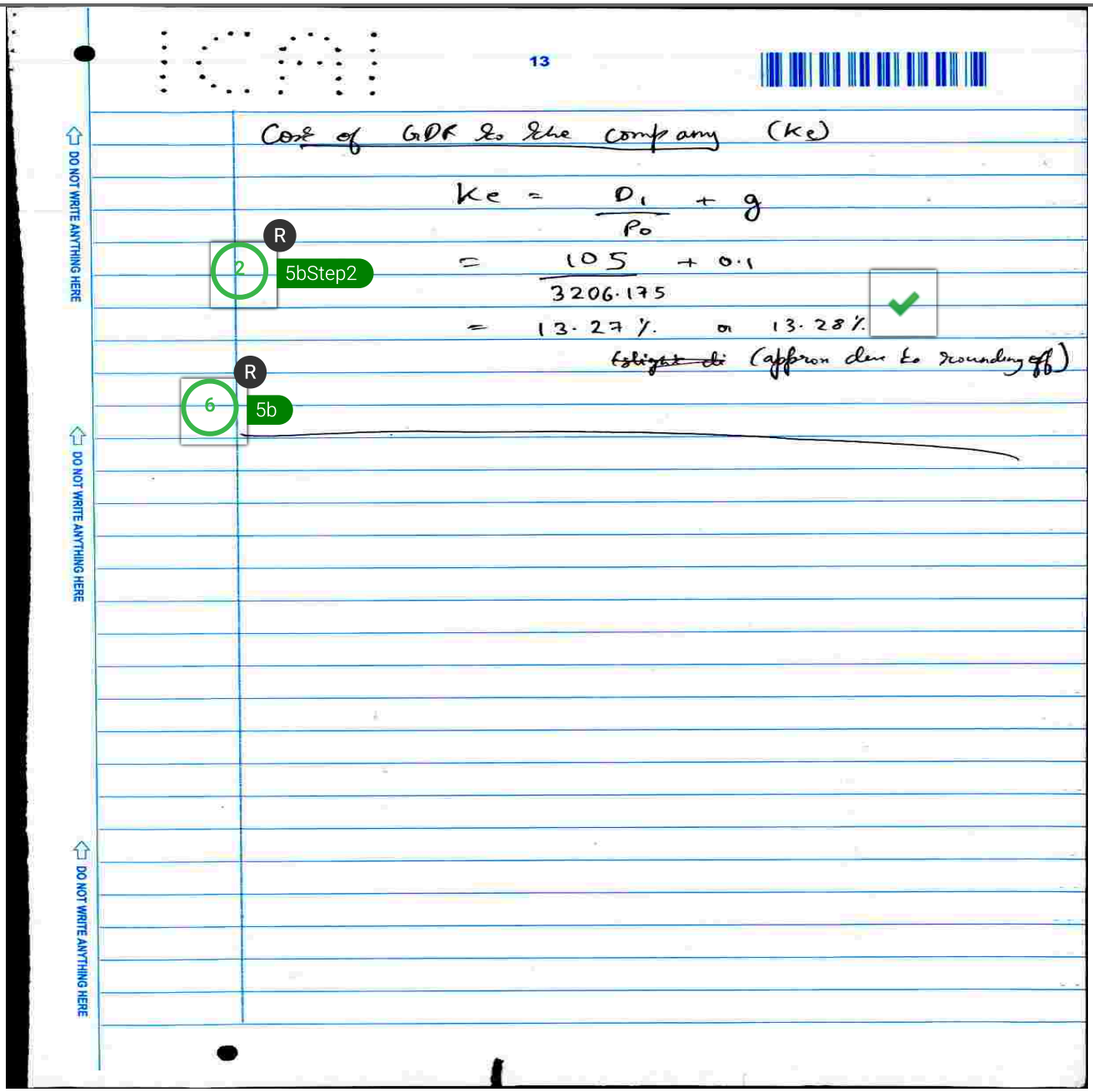
Calculation of price of one GDR

Market price per share = ₹500
No of shares per GDR = 7 Discount = 7%
Value per GDR in ₹ = (500 × 7) − 7%
= ₹3255
Price per GDR in $ = 3255 / 81.3750 = $40

Number of GDR's to be issued = $150 lakh / $40
= 375000 or 3.75 lakh GDR

R
4 5bStep1
Expected dividend per GDR = (15% × 100 × 7) = ₹105
Net proceeds from 1 GDR = 3255 − 1.5% = ₹3206.175
Growth Rate = 10%.

DO NOT WRITE ANYTHING HERE



Cost of GDR to the company (ke)

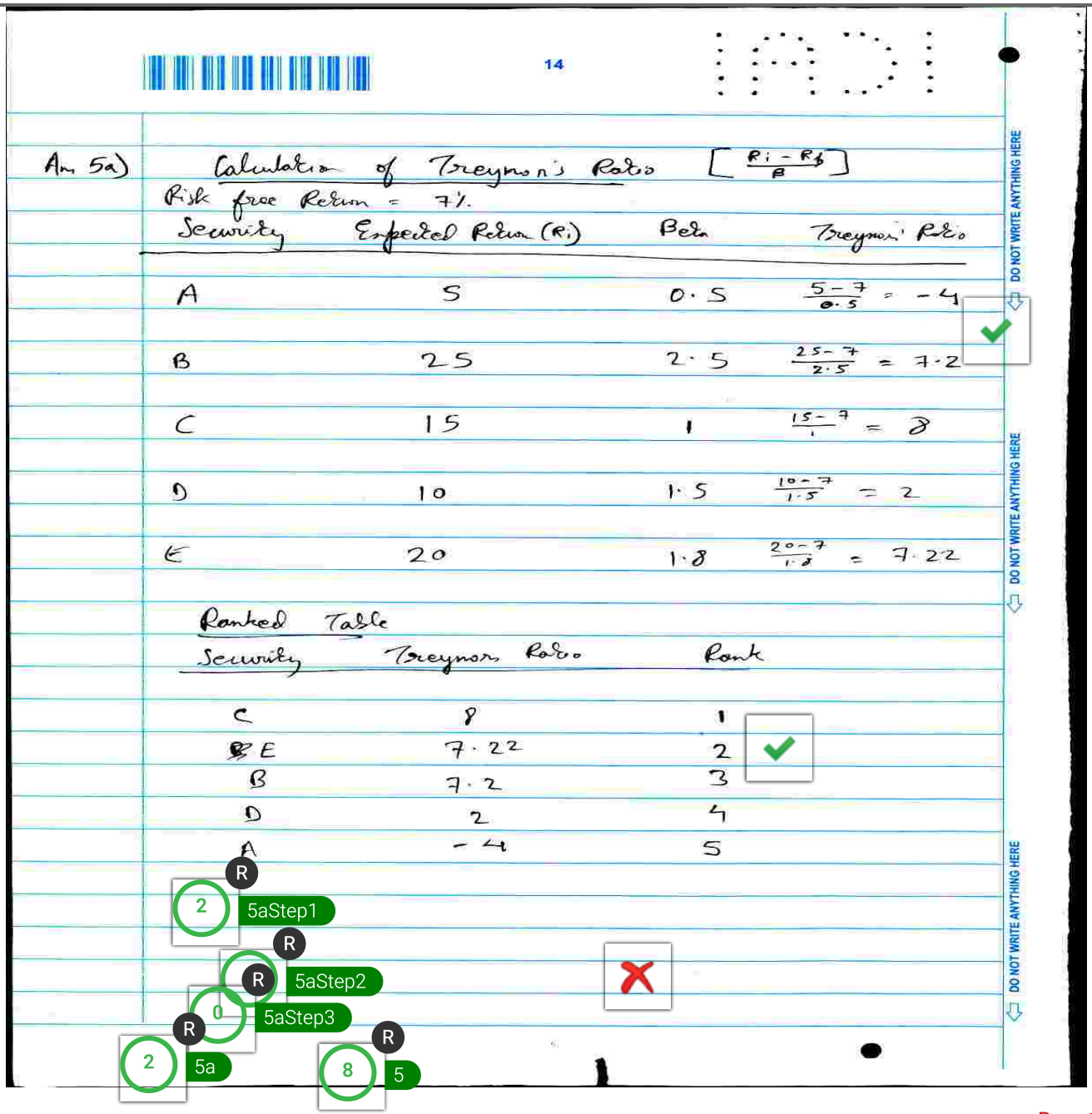
$$Ke = \frac{D_1}{P_0} + g$$

$$= \frac{105}{3206.175} + 0.1$$

= 13.27% or 13.28% (approx due to rounding off)

The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57



14

Ans 5a) Calculation of Treynor's Ratio $\left[\frac{R_i - R_f}{\beta}\right]$

Risk free Return = 7%.

Security	Expected Return (R_i)	Beta	Treynor Ratio
A	5	0.5	$\frac{5-7}{0.5} = -4$
B	25	2.5	$\frac{25-7}{2.5} = 7.2$
C	15	1	$\frac{15-7}{1} = 8$
D	10	1.5	$\frac{10-7}{1.5} = 2$
E	20	1.8	$\frac{20-7}{1.8} = 7.22$

Ranked Table

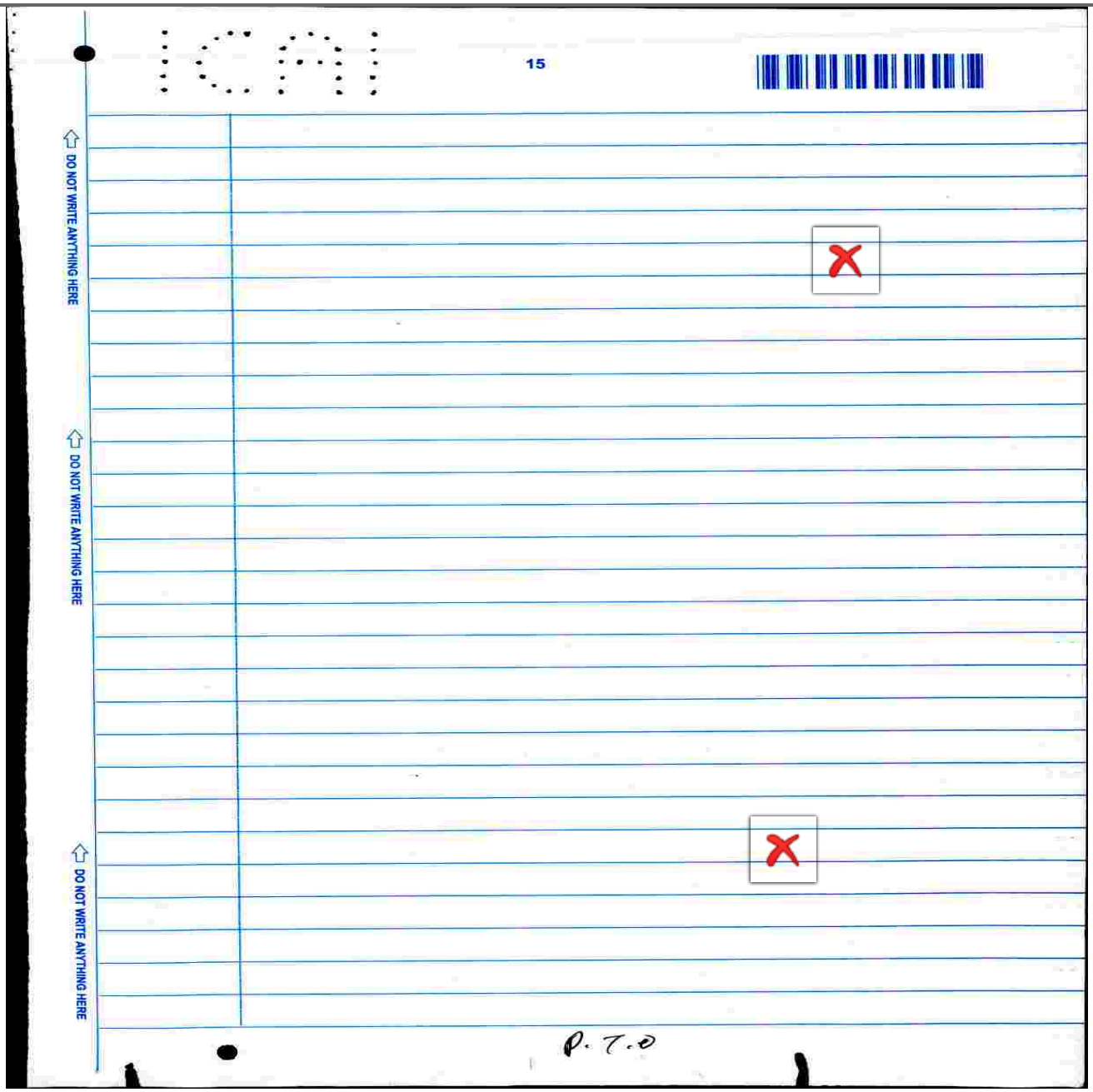
Security	Treynor Ratio	Rank
C	8	1
E	7.22	2
B	7.2	3
D	2	4
A	-4	5

R 2 5aStep1
R R 5aStep2
0 5aStep3
R 2 5a
R 8 5

DO NOT WRITE ANYTHING HERE

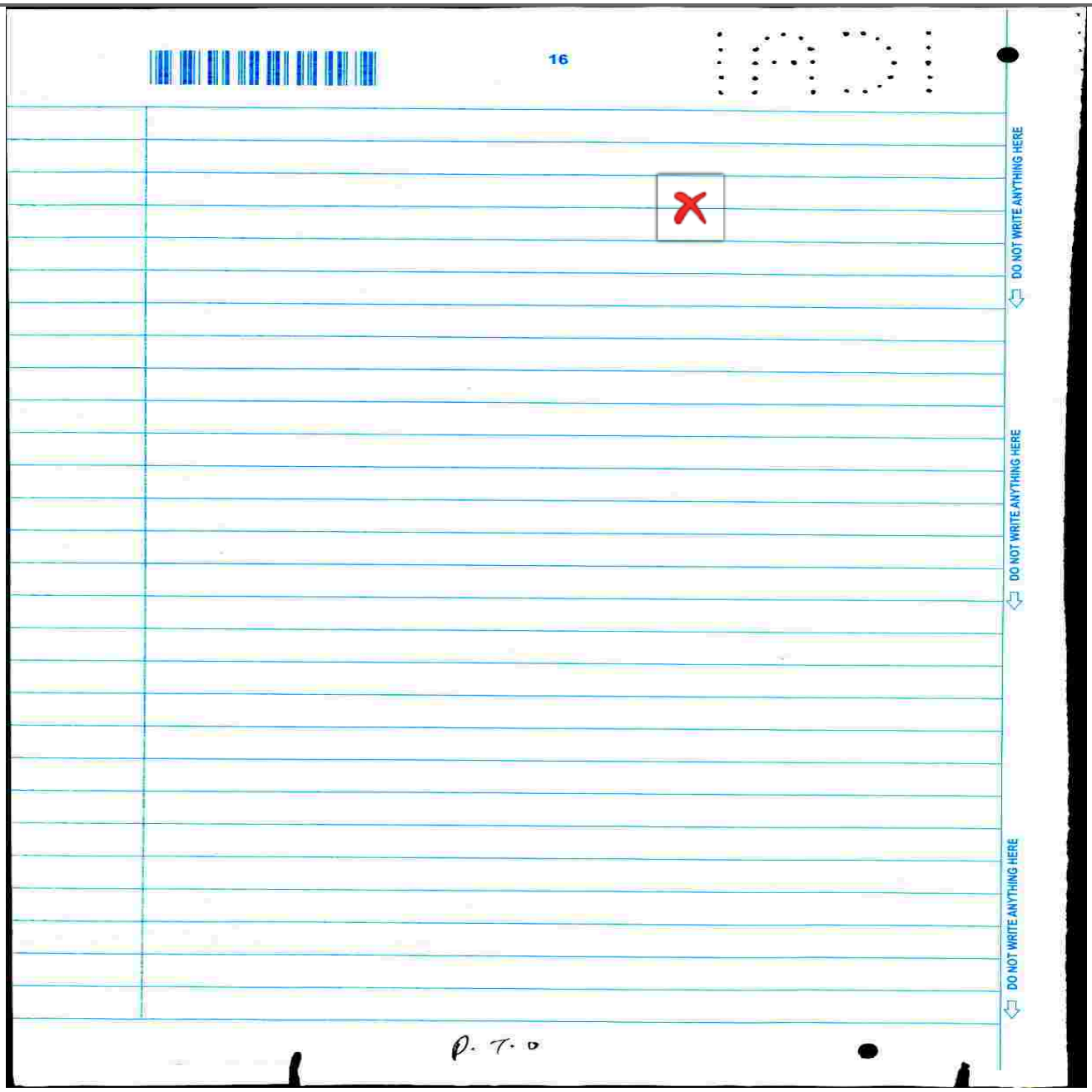
The Institute of Chartered Accountants of India

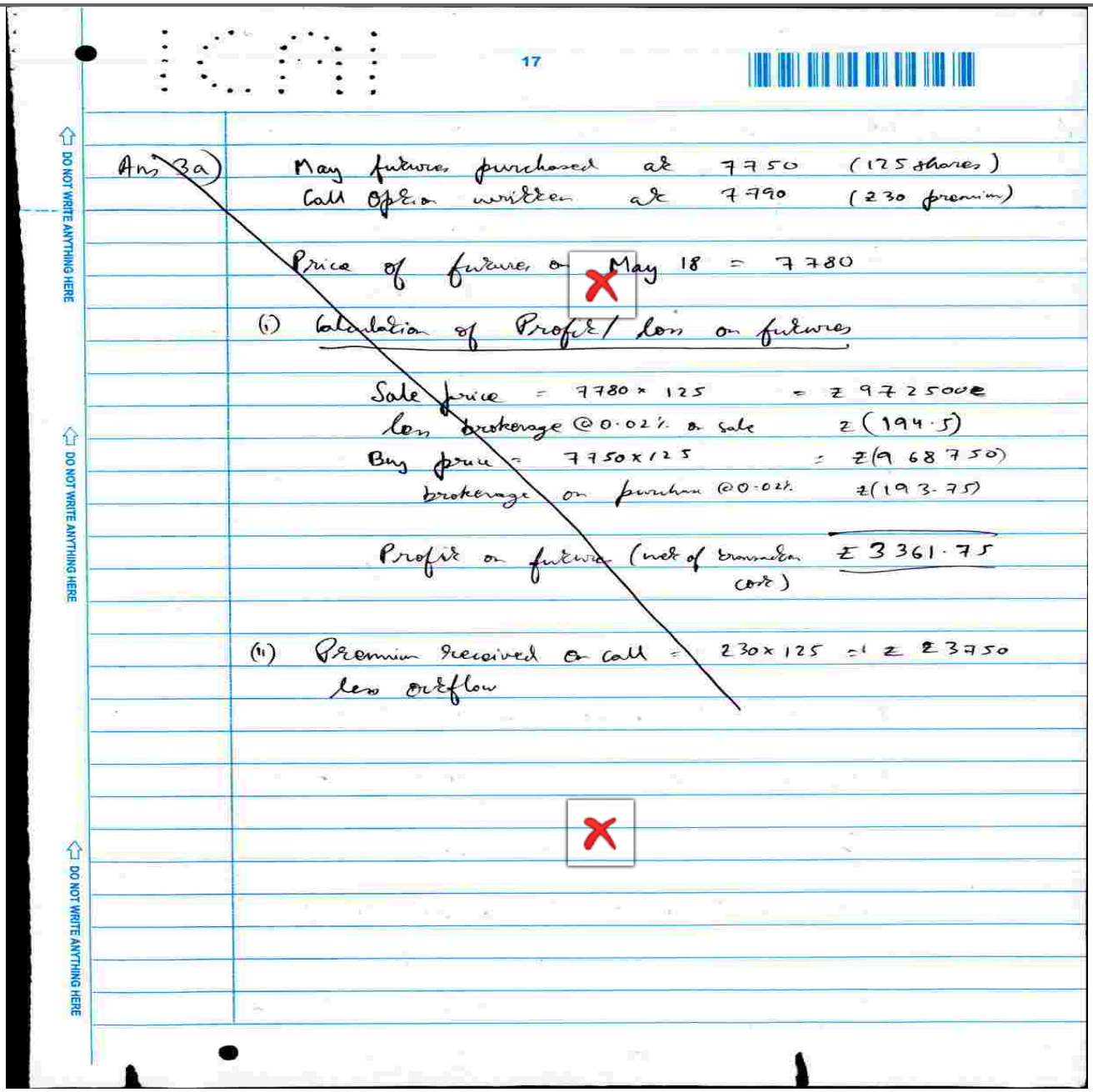
Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57



The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57





17

DO NOT WRITE ANYTHING HERE

Ans 3a)

May futures purchased at 7750 (125 shares)
Call option written at 7790 (230 premium)

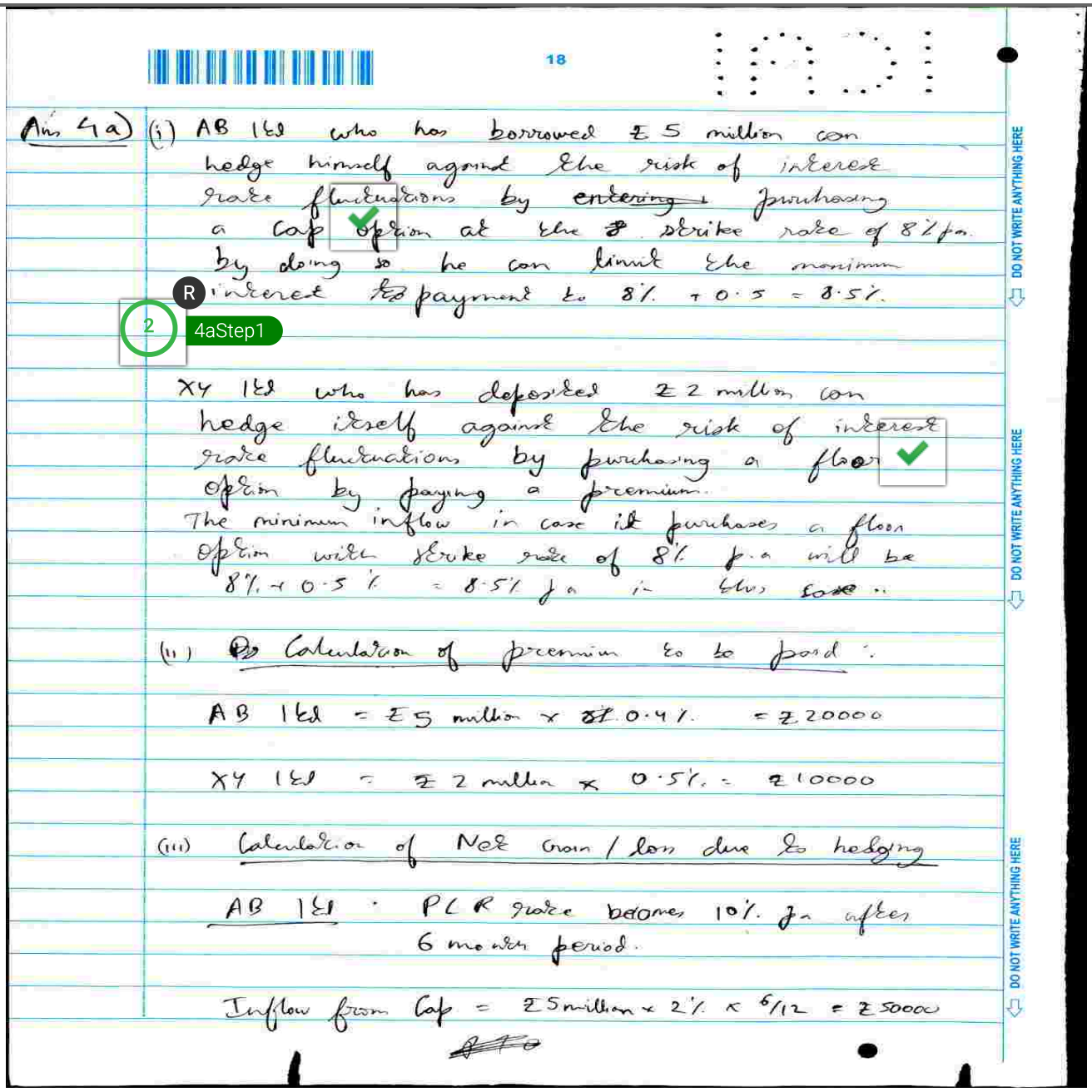
Price of future on May 18 = 7780

(i) Calculation of Profit/loss on futures

Sale price = 7780 × 125 = ₹ 972500
less brokerage @ 0.02% on sale ₹ (194.5)
Buy price = 7750 × 125 = ₹ (968750)
brokerage on purchase @ 0.02% ₹ (193.75)

Profit on future (net of transaction cost) ₹ 3361.75

(ii) Premium received on call = 230 × 125 = ₹ 28750
less outflow



18

Ans 4a) (i) AB Ltd who has borrowed ₹ 5 million can hedge himself against the risk of interest rate fluctuations by ~~entering~~ purchasing a Cap Option at the ~~₹~~ strike rate of 8% p.a. by doing so he can limit the maximum interest ~~to~~ payment to 8% + 0.5 = 8.5%.

R 2 4aStep1

XY Ltd who has deposited ₹ 2 million can hedge itself against the risk of interest rate fluctuations by purchasing a floor Option by paying a premium.
The minimum inflow in case it purchases a floor Option with strike rate of 8% p.a will be 8% + 0.5 % = 8.5% p.a in this case.

(ii) Calculation of premium to be paid :

AB Ltd = ₹ 5 million × ~~₹~~ 0.4% = ₹ 20000

XY Ltd = ₹ 2 million × 0.5% = ₹ 10000

(iii) Calculation of Net Gain / loss due to hedging

AB Ltd : PLR rate becomes 10% p.a after 6 months period.

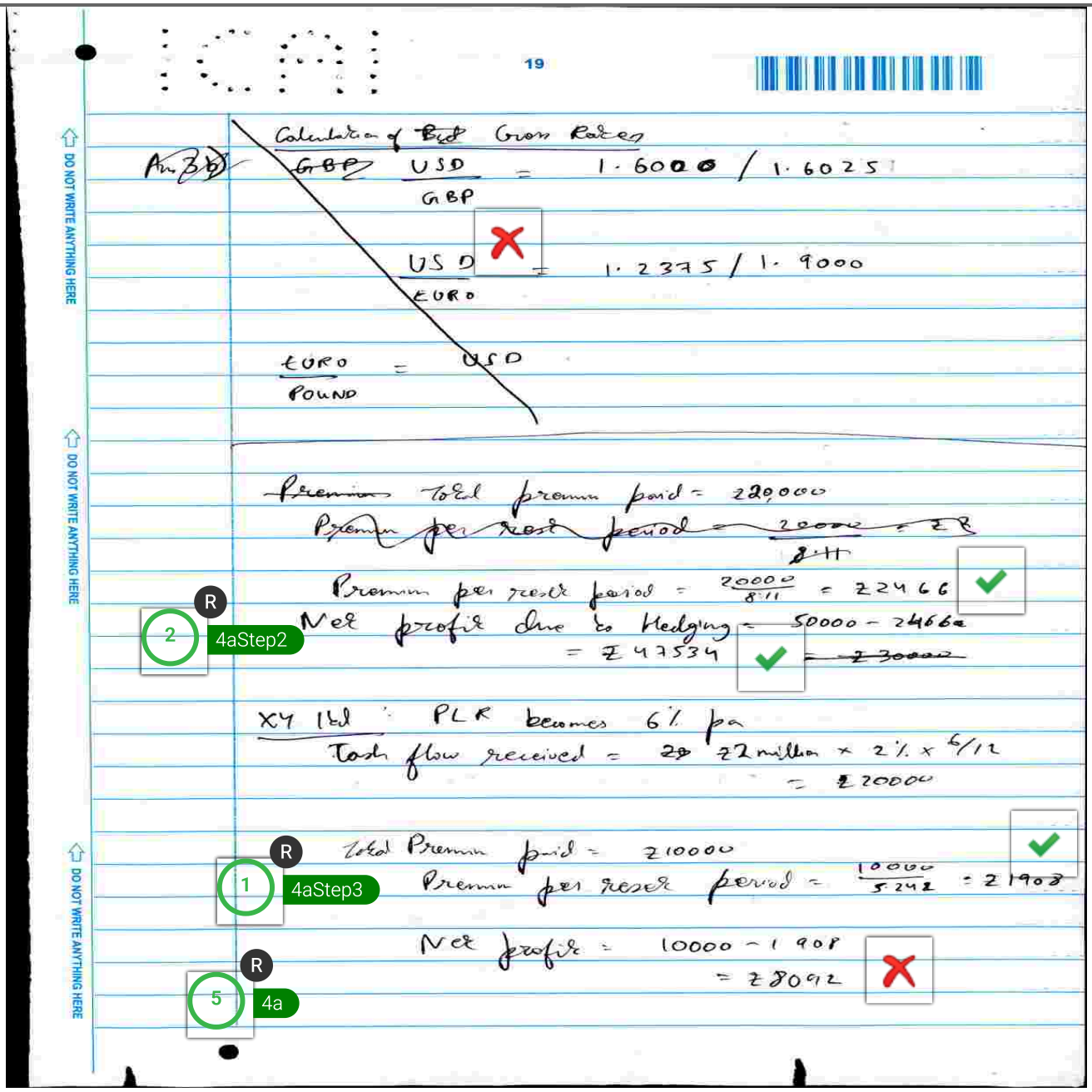
Inflow from Cap = ₹ 5 million × 2% × 6/12 = ₹ 50000

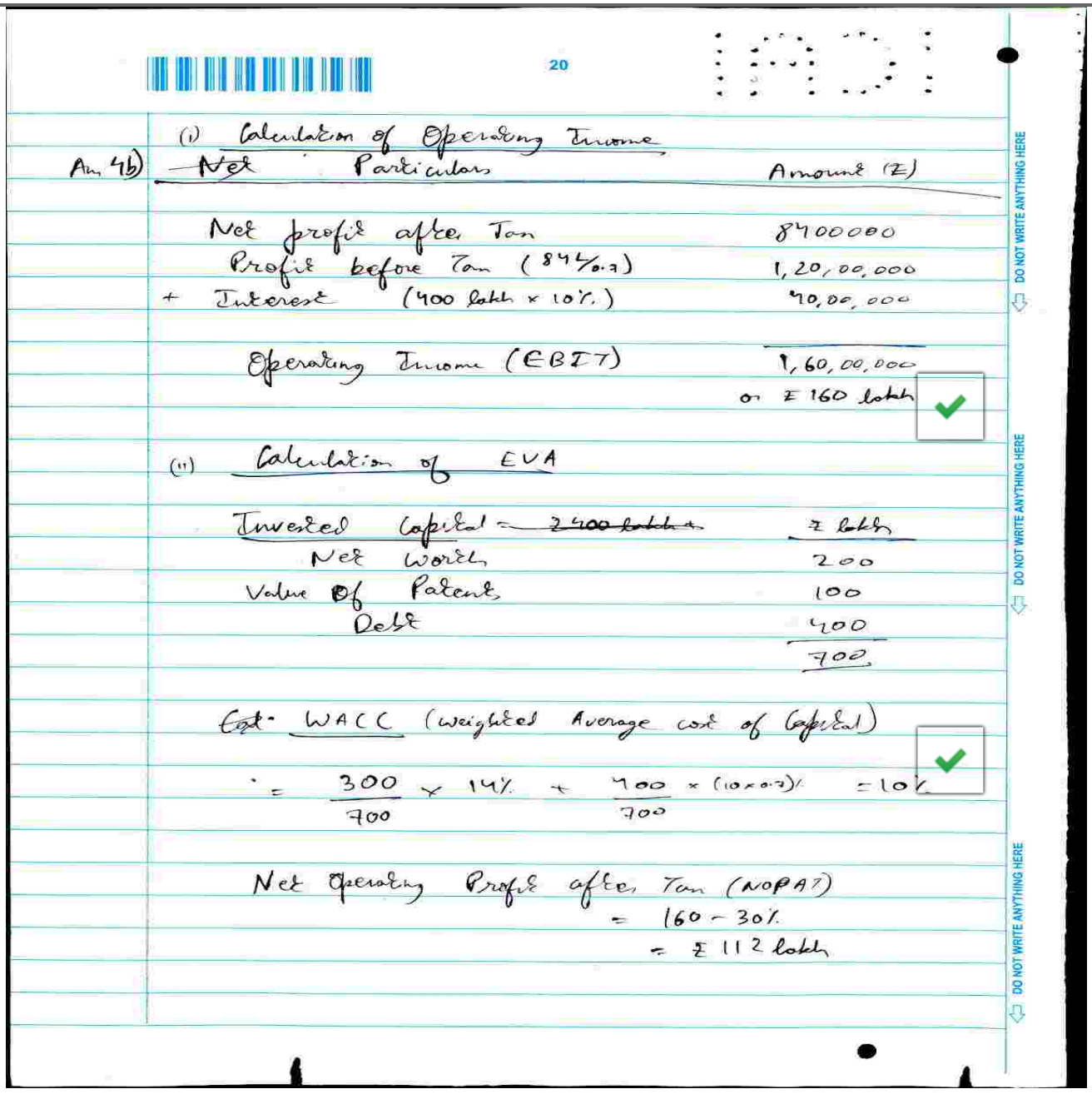
~~₹~~

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57





20

Ans 4b)

(i) Calculation of Operating Income

Particulars	Amount (₹)
Net profit after Tax	8400000
Profit before Tax (84 Lakh / 0.7)	1,20,00,000
+ Interest (400 Lakh × 10%)	40,00,000
Operating Income (EBIT)	1,60,00,000 or ₹ 160 Lakh

(ii) Calculation of EVA

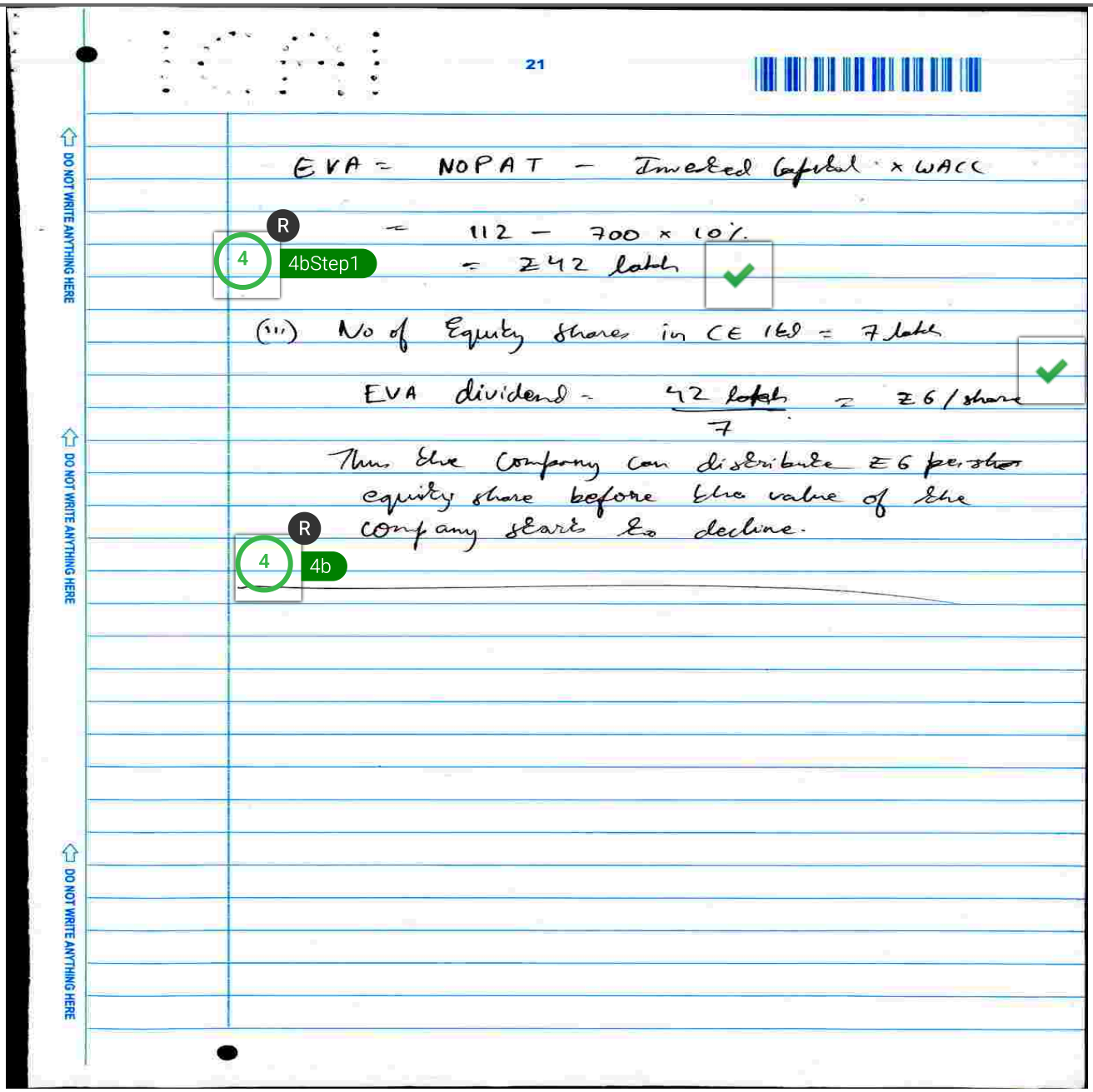
Invested Capital =	₹ Lakh
Net Worth	200
Value of Patent	100
Debt	400
	700

Cost of WACC (Weighted Average cost of Capital)

$= \frac{300}{700} \times 14\% + \frac{400}{700} \times (10 \times 0.7)\% = 10\%$

Net Operating Profit after Tax (NOPAT)
= 160 − 30%
= ₹ 112 Lakh

DO NOT WRITE ANYTHING HERE



21

DO NOT WRITE ANYTHING HERE

EVA = NOPAT − Invested Capital × WACC

= 112 − 700 × 10%.

= ₹42 lakh

R 4 4bStep1

(iii) No of Equity shares in CE ltd = 7 lakh

EVA dividend = 42 lakh / 7 = ₹6/share

Thus the company can distribute ₹6 per share equity share before the value of the company starts to decline.

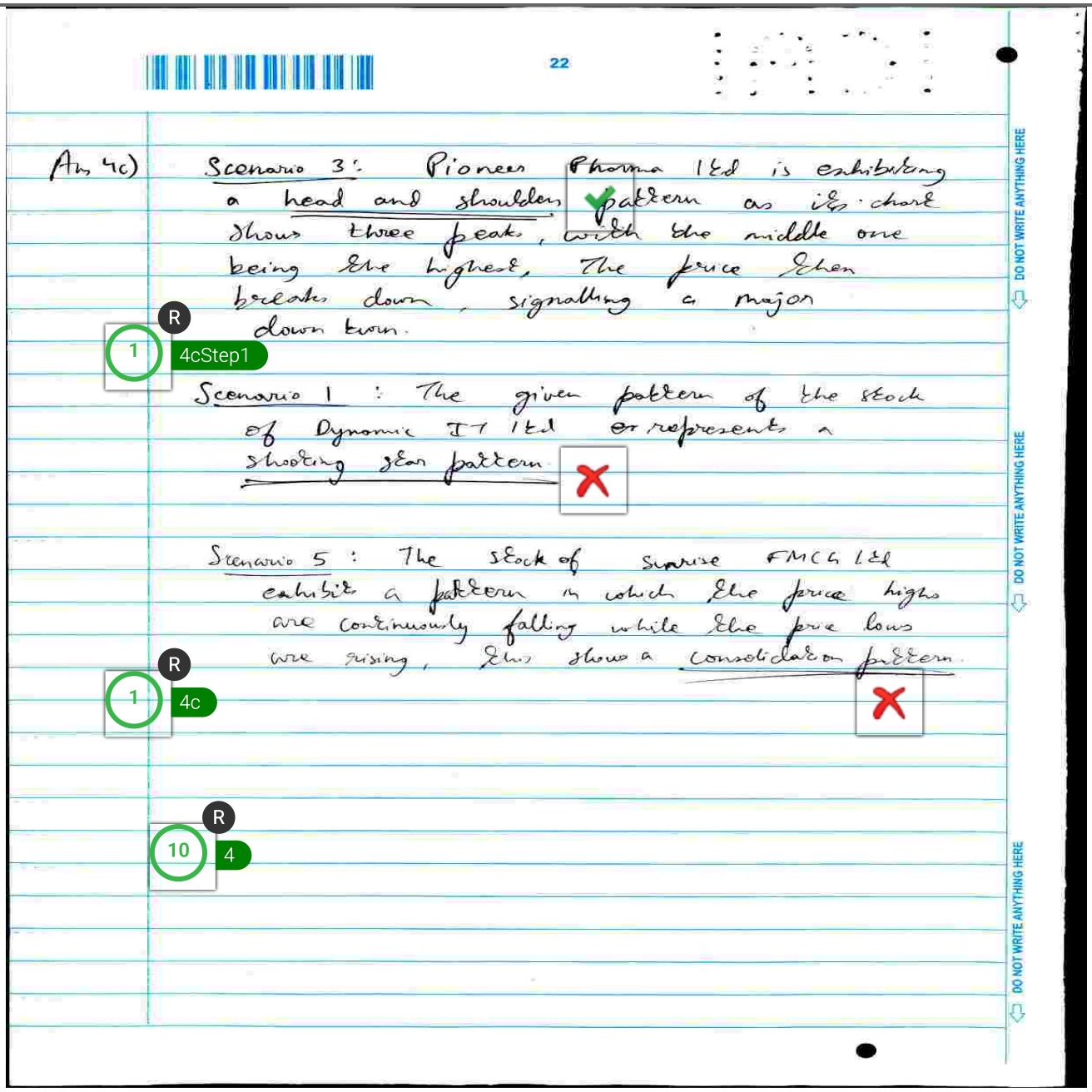
R 4 4b

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57



22

Ans 4c) Scenario 3: Pioneer Pharma Ltd is exhibiting a head and shoulders pattern as its chart shows three peaks, with the middle one being the highest, The price then breaks down, signalling a major down turn.

R 1 4cStep1

Scenario 1 : The given pattern of the stock of Dynamic IT Ltd represents a shooting star pattern.

Scenario 5 : The stock of Sunrise FMCG Ltd exhibit a pattern in which the price highs are continuously falling while the price lows are rising, This shows a consolidation pattern.

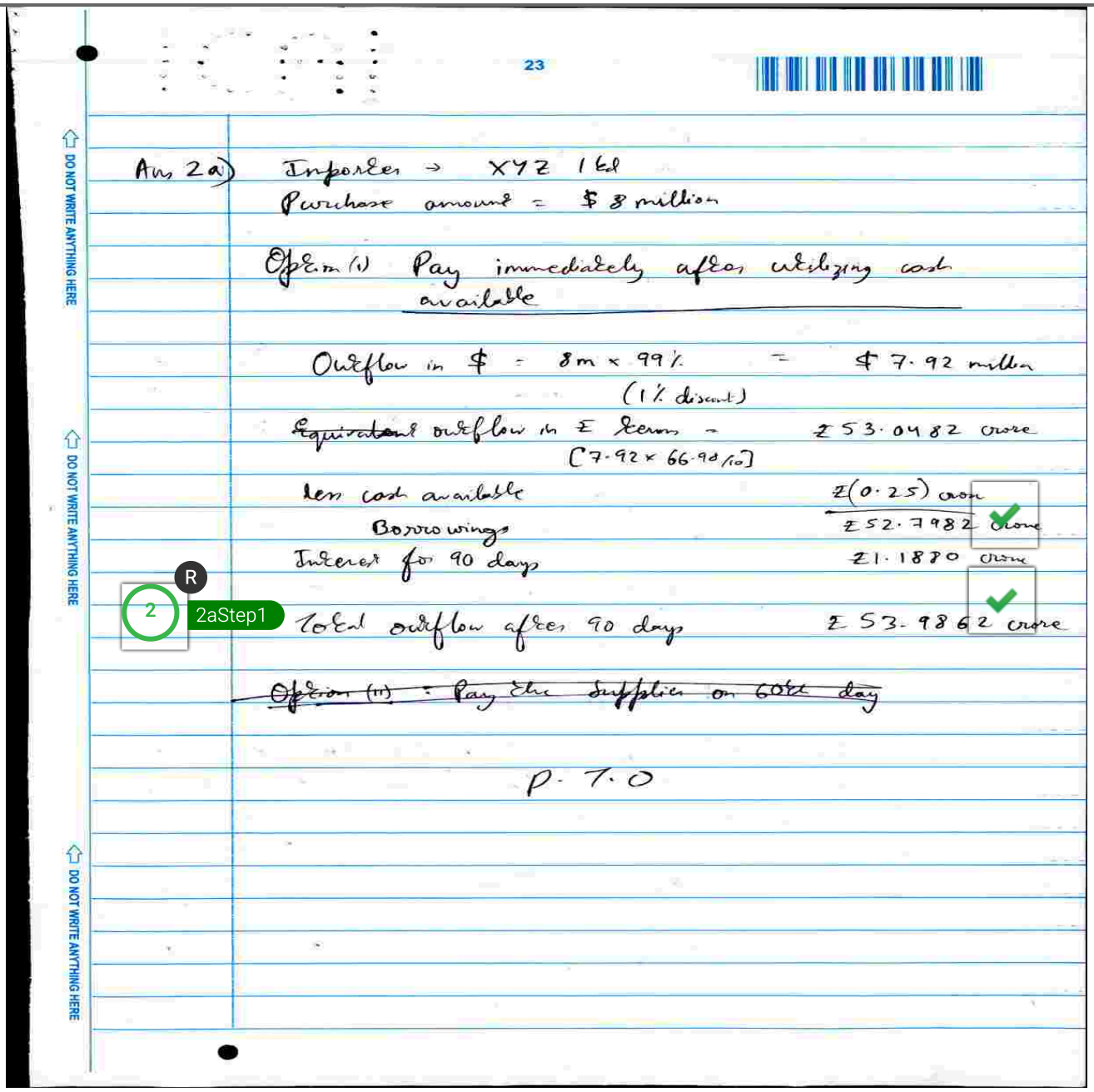
R 1 4c

R 10 4

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE



23

DO NOT WRITE ANYTHING HERE

Ans 2a) Importer → XYZ Ltd
Purchase amount = $ 8 million

Option (i) Pay immediately after utilizing cash available

Outflow in $ = 8m × 99% = $ 7.92 million
(1% discount)

Equivalent outflow in ₹ term = ₹ 53.0482 crore
[7.92 × 66.90/10]

Less cash available ₹(0.25) crore
₹ 52.7982 crore

Borrowings
Interest for 90 days ₹1.1880 crore

Total outflow after 90 days ₹ 53.9862 crore

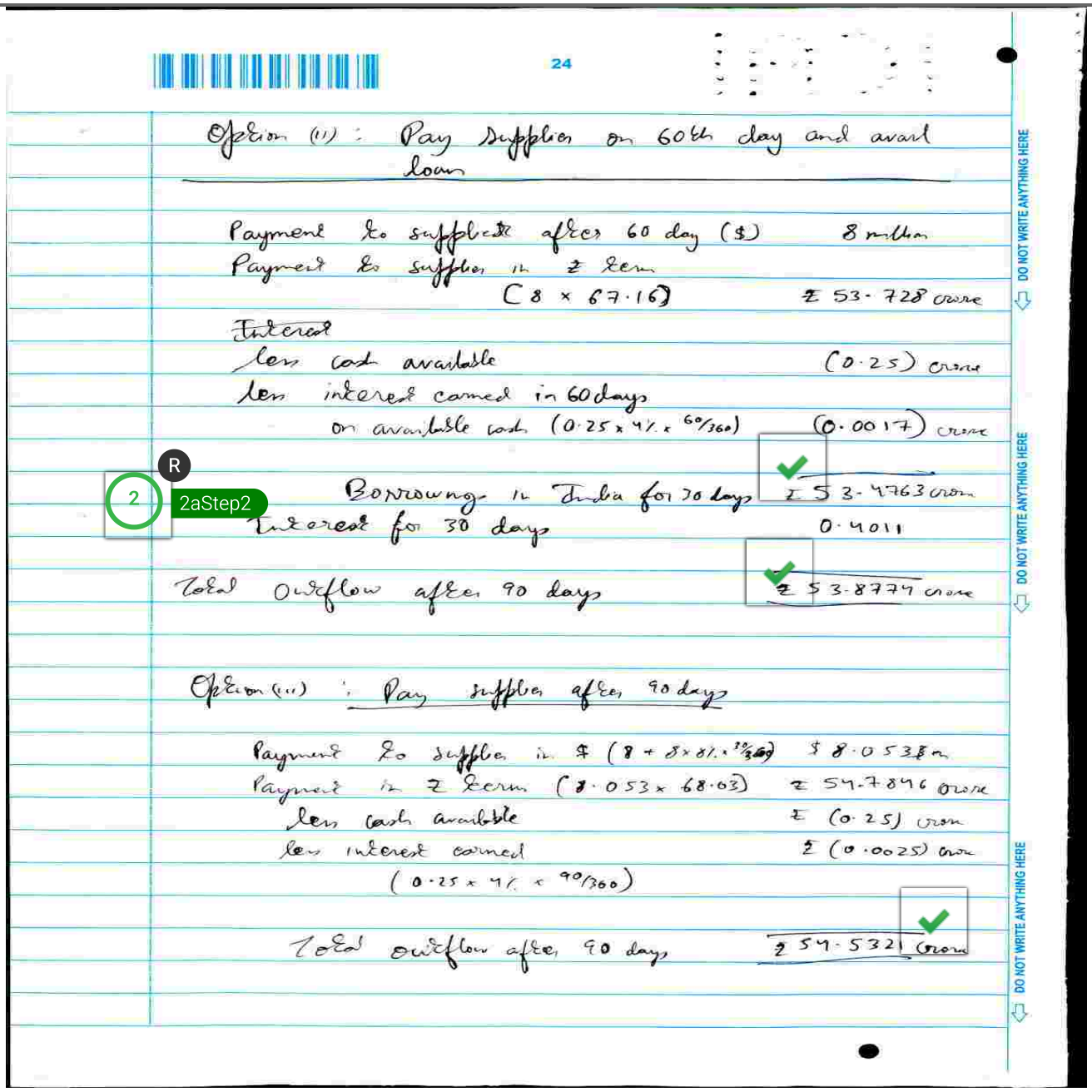
~~Option (ii) : Pay the supplier on 60th day~~

P. T. O

DO NOT WRITE ANYTHING HERE

DO NOT WRITE ANYTHING HERE

R
2 2aStep1



24

Option (ii) : Pay Supplier on 60th day and avail loan

Payment to supplier after 60 day ($)	8 million
Payment to supplier in ₹ term (8 × 67.16)	₹ 53.728 crore
Interest	
less cash available	(0.25) crore
less interest earned in 60 days on available cash (0.25 × 4% × 60/360)	(0.0017) crore
Borrowings in India for 30 days	₹ 53.4763 crore
Interest for 30 days	0.4011
Total outflow after 90 days	₹ 53.8774 crore

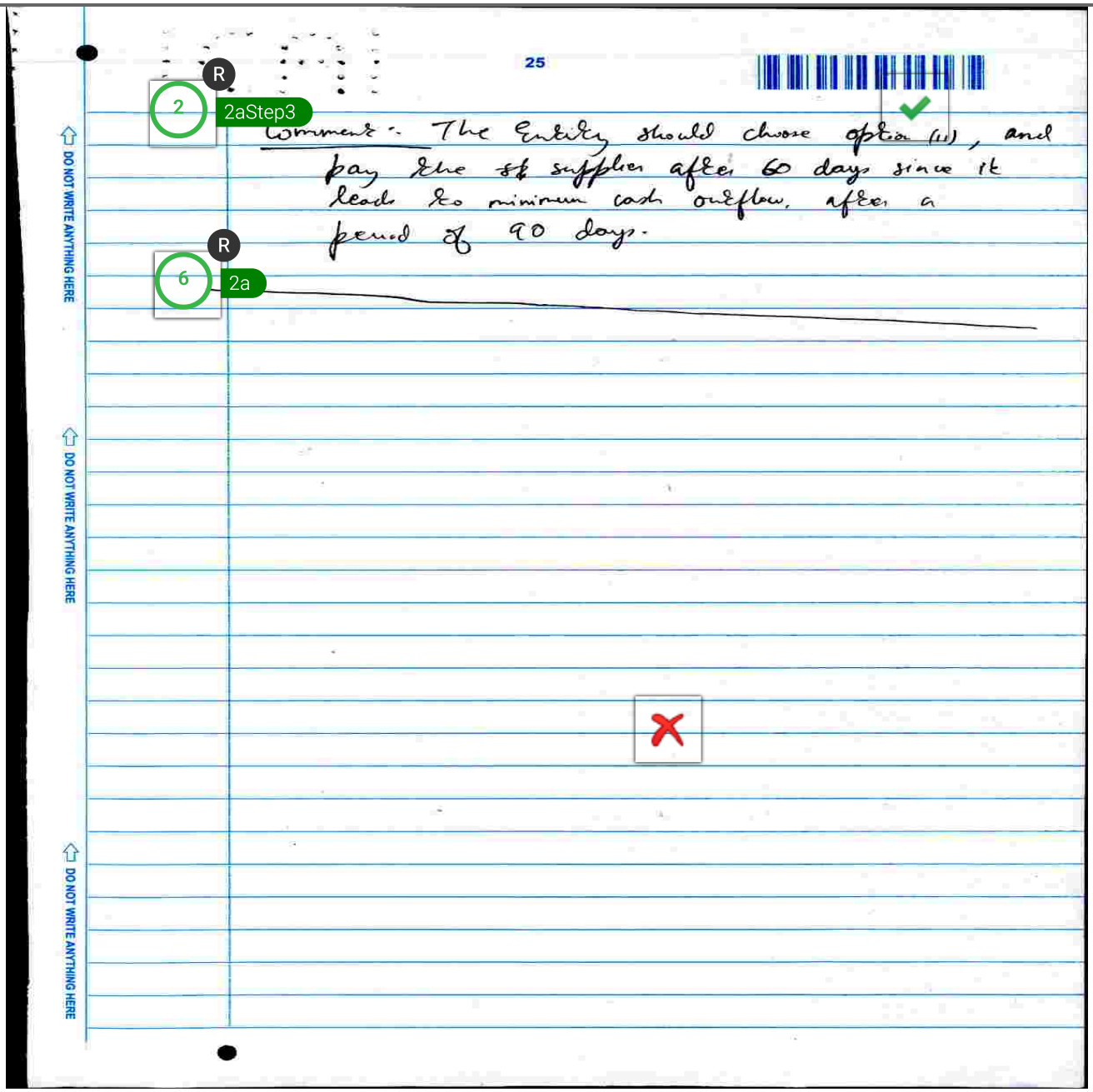
Option (iii) : Pay supplier after 90 days

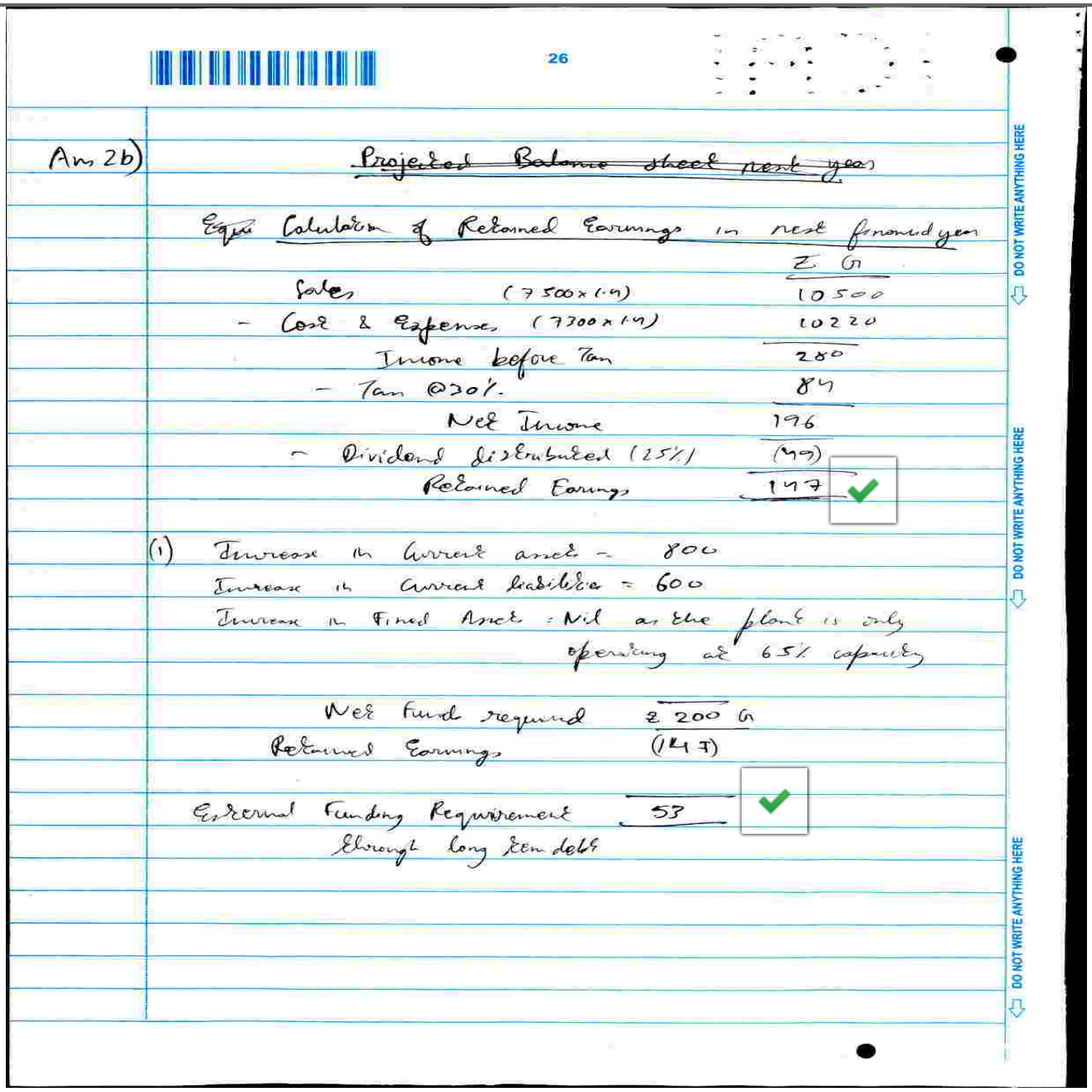
Payment to supplier in $ (8 + 8 × 8% × 3/360)	$ 8.0538 m
Payment in ₹ term (8.053 × 68.03)	₹ 54.7846 crore
less cash available	₹ (0.25) crore
less interest earned (0.25 × 4% × 90/360)	₹ (0.0025) crore
Total outflow after 90 days	₹ 54.5321 crore

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57





26

Ans 2b) ~~Projected Balance sheet next year~~

Calculation of Retained Earnings in next financial year

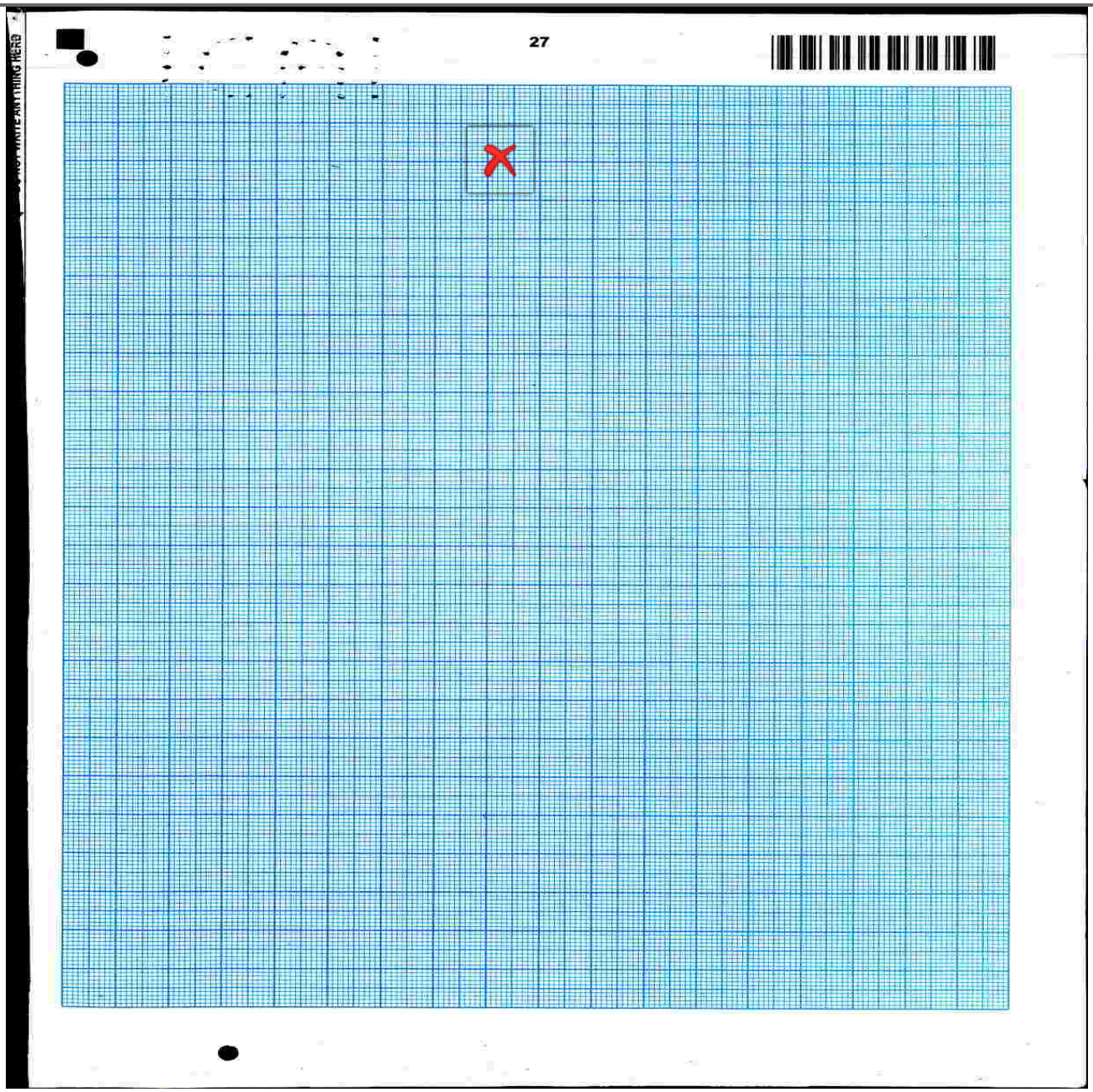
		Z	G
Sales	(7500 × 1.4)	10500	
− Cost & Expense	(7300 × 1.4)	10220	
Income before Tax		280	
− Tax @30%.		84	
Net Income		196	
− Dividend distributed (25%)		(49)	
Retained Earnings		147	✓

(1) Increase in Current asset = 800
Increase in Current liability = 600
Increase in Fixed Asset : Nil as the plant is only operating at 65% capacity

Net Fund required	200	G
Retained Earnings	(147)	
External Funding Requirement	53	✓

Through long term debt

DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE
DO NOT WRITE ANYTHING HERE


27

28

DO NOT WRITE ANYTHING HERE

Rough

BUPS = 0.5 × 20%

MPS = 0.25 × 40%

CPAR = $\frac{2}{12}$ × 20%

RNP = $\frac{2}{12}$ × 20%

PE =	20	10
MPI	200	50
EPS	10	5

earning

Profit Risk

~~266000~~ 36500

A	5000	
B	7500	34000 × 10
C	33000	
G	850	
	54000	

15.7 = 5% + (Rm − 5) × 0.3677 955

10.7 + 1.6 32500

263 days

Gain → Fwd Sell @ 86.0

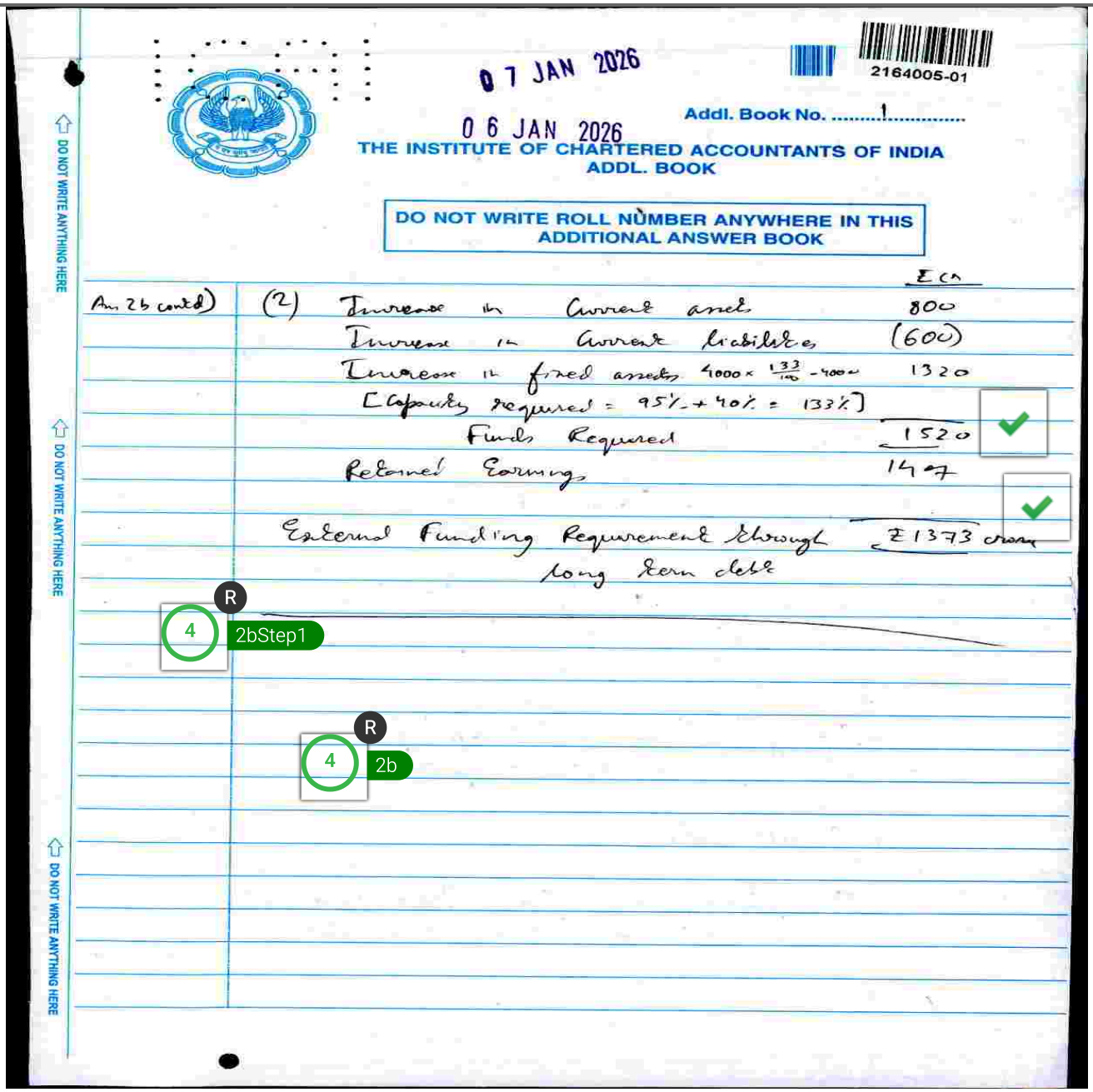
Outflow = 250000 × 868 = 21700000

Inflow = 250000 × 86.5 = 21625000

Shortfall = 86.5

86.0

= 32500



07 JAN 2026
06 JAN 2026
2164005-01
Addl. Book No. .....1.....
THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA
ADDL. BOOK

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

DO NOT WRITE ANYTHING HERE

Ans 2b contd)

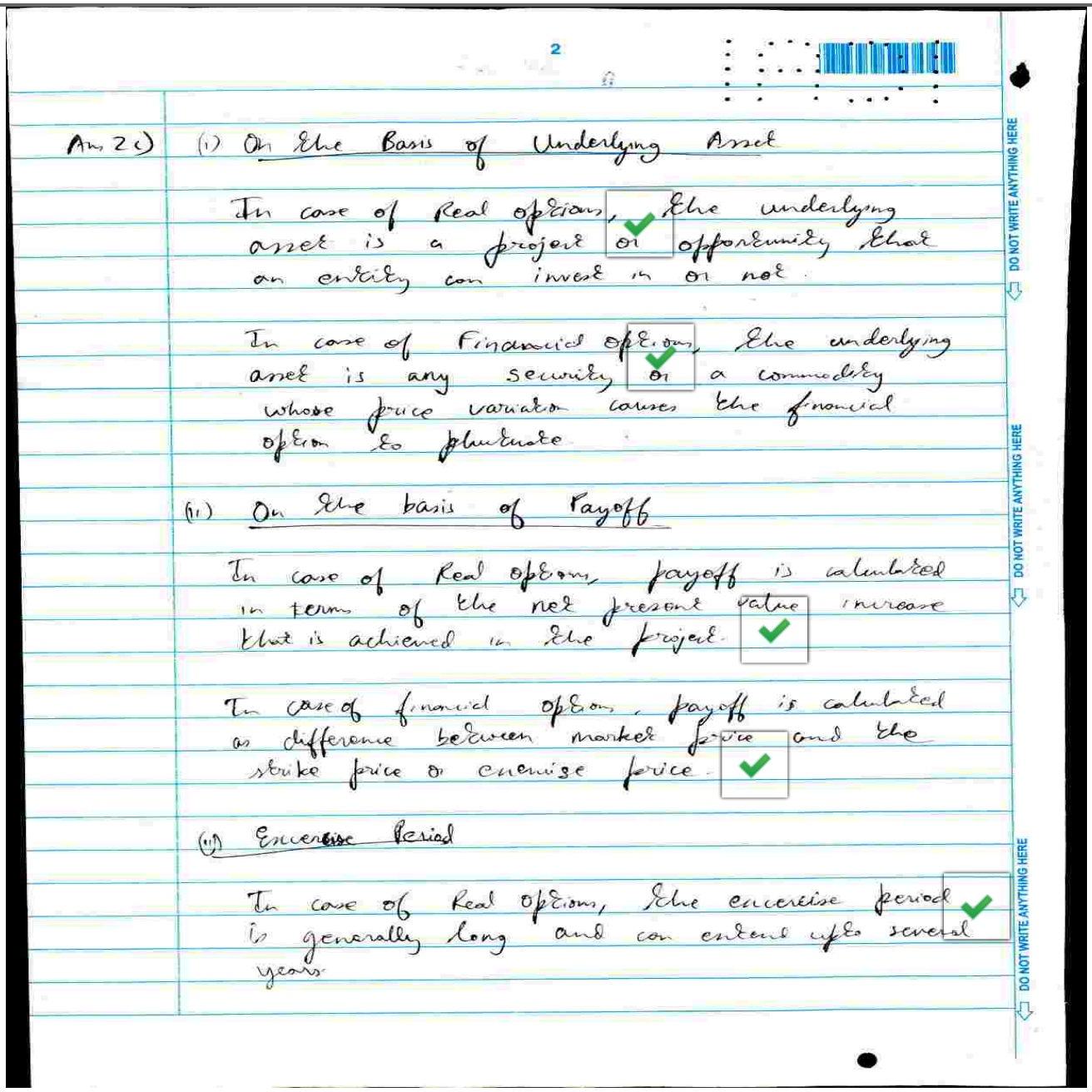
(2)

	₹ Cr
Increase in Current assets	800
Increase in Current liabilities	(600)
Increase in fixed assets 4000 × 133/100 − 4000	1320
[Capacity required = 95% + 40% = 133%]	
Funds Required	1520
Retained Earnings	147
External Funding Requirement through long term debt	₹1373 crore

R 4 2bStep1

R 4 2b

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57



2

Ans 2 c)

(i) On the Basis of Underlying Asset

In case of Real options, the underlying asset is a project or opportunity that an entity can invest in or not.

In case of Financial options, the underlying asset is any security or a commodity whose price variation causes the financial option to fluctuate.

(ii) On the basis of Payoff

In case of Real options, payoff is calculated in terms of the net present value increase that is achieved in the project.

In case of financial options, payoff is calculated as difference between market price and the strike price or exercise price.

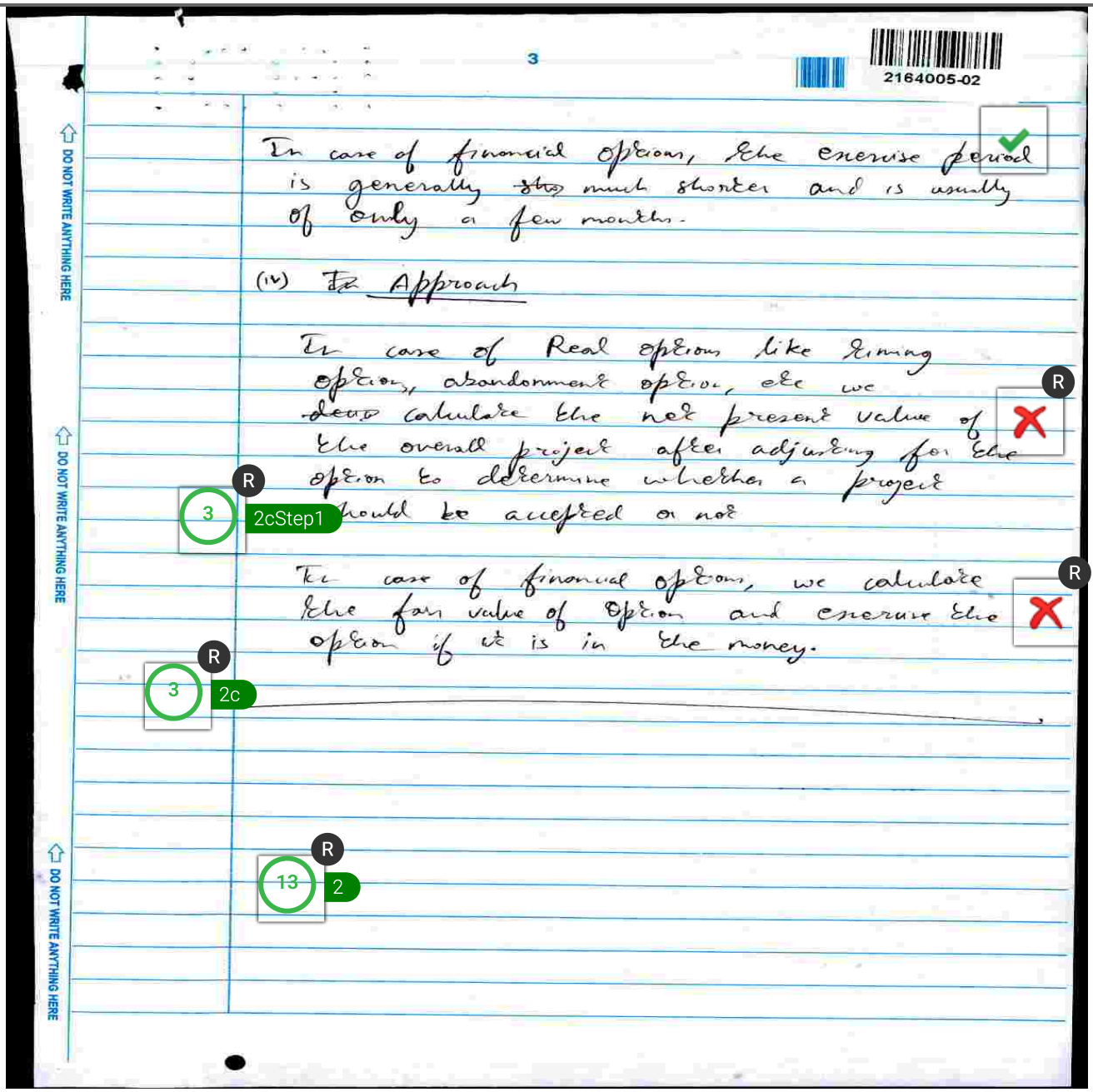
(iii) Exercise Period

In case of Real options, the exercise period is generally long and can extend upto several years.

DO NOT WRITE ANYTHING HERE

The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57



The Institute of Chartered Accountants of India

Code: FN2AF164005 Total Marks: 70
Subject : 02 Advanced Financial Management Marks Obtained : 57

